HT MUMBAI VOL. 9 NO. 212

Friday, September 4, 2026

mint

Think Ahead. Think Growth.

mint primer

Why has Q1 GDP growth sparked a controversy?

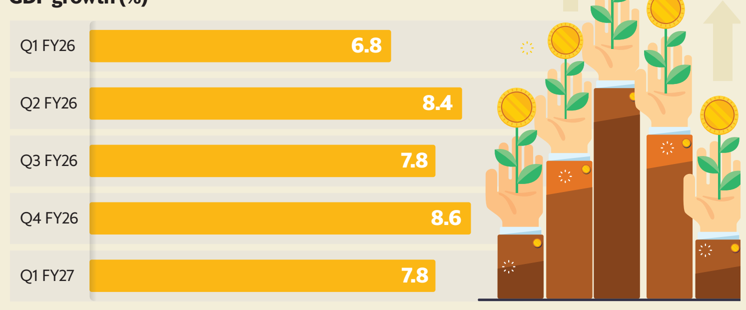
BY N MADHAVAN

The Centre on Monday released gross domestic product (GDP) data, pegging India's June quarter economic growth at 7.8% despite the West Asia crisis and a tariff war. Opposition parties and some experts have questioned these numbers. *Mint* explains:

Top gear

India's GDP growth continues to defy headwinds.

GDP growth (%)



Source: MoSPI

MANU CHOUDHARY/MINT

1 Was the Q1 economic growth surprising?

Yes. The 7.8% growth in the GDP did beat expectations. In the first quarter of fiscal year 2026 (FY26), the economy posted a growth of just 6.8%. The Reserve Bank of India (RBI), in its August monetary policy review, estimated June quarter growth at 7%. In late August, *Mint* polled 21 economists, who pegged GDP growth at 7.4%. The faster pace of growth has been achieved amid a tariff war and an escalation in geopolitical tensions, including the US-Iran war that shut the Strait of Hormuz and disrupted the flow of oil and other products from West Asia, sending their prices soaring.

2 What contributed to this growth?

The data suggests an all-round performance. The services sector posted strong 12.1% growth while manufacturing grew by 9.2%. Gross fixed capital formation, a measure of investment in the economy, rose by 11.9% against 5.8% in the year-ago period. This suggests a possible revival in private investment. Household consumption grew at 7.1% against 6.8% in Q1 FY26. Exports grew by 12%. Chief economic advisor V. Anantha Nageswaran attributed this performance to the continued resilience of the Indian economy despite the West Asia war and ground efforts to ensure the availability of inputs.

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3 But why are some questioning the figures?

The Congress has called these numbers "statistical gymnastics." Its president, Mallikarjun Kharge, said the common man is grappling with unprecedented unemployment, an unbearable rise in prices, and unbridled inequality. Jairam Ramesh questioned the methodology. Former RBI chief Raghuram Rajan asked why this growth was not generating jobs.

4 What about Subash Garg's 2.6% growth?

Former finance secretary Subhash Garg also waded into this controversy, saying that the actual GDP growth in current prices was only 2.6% and in real terms 0%. He argued the government had earlier announced the size of GDP in Q1 FY26 as ₹86 trillion, but has now revised it downward to ₹80 trillion while calculating the Q1 FY27 GDP growth. If the ₹86 trillion size is retained, growth is just 2.6%, as Q1 FY27 GDP is ₹88.27 trillion. He claimed that manufacturing and consumption actually witnessed negative growth.

5 What is the Centre's response?

The government has clarified that the GDP size of ₹86 trillion for Q1 FY26 was earlier arrived at using the old series, which has 2011-12 as the base year, while the revised Q1 FY26 figures of ₹80 trillion and the Q1 FY27 figure of ₹88 trillion were arrived at using the new series that has 2022-23 as the base year. Garg, experts said, was erroneously using figures from two different series to arrive at his growth. The 7.8% growth, the Centre added, was corroborated by robust goods and services tax collections, strong bank credit and auto sales.

QUICK EDIT

Gold's lost lustre

Gold, a recent star performer for investors, seems to have run into rough times. By Wednesday, its prices had fallen for seven sessions in a row, even as West Asia erupted again in armed hostility between the US and Iran. Such a deterioration in global economic conditions ought to have given gold a lift. Yet, prices fell. Gold owes this pain to a stronger dollar amid expectations of rate hikes by the US Federal Reserve. Since it is traded in dollars, greenback gains make non-US purchases of the metal dearer, deterring consumer demand. Earlier, gold had soared partly as part of the global 'dollar debasement' trade, just as Bitcoin had, but this force may have gotten outweighed by an investor shift to US Treasury and other bonds whose yields have hardened. War clouds over the Strait of Hormuz have driven up crude oil prices as well as inflation risks. Unsurprisingly, traders are reportedly assigning a two-thirds probability to the Fed raising its key policy rate this month. In India, Prime Minister Narendra Modi's renewed call for people to buy less gold is part of an effort to conserve dollars. What's hard to tell at this point is whether gold can regain its past uncertainty driven peak.

QUOTE OF THE DAY

We are grateful to India for its commitment to ending this unjust war... It is absolutely unacceptable to block food supplies to regions where this is a highly sensitive issue and where people depend on these maritime routes.

VOLODYMYR ZELENSKY
UKRAINIAN PRESIDENT

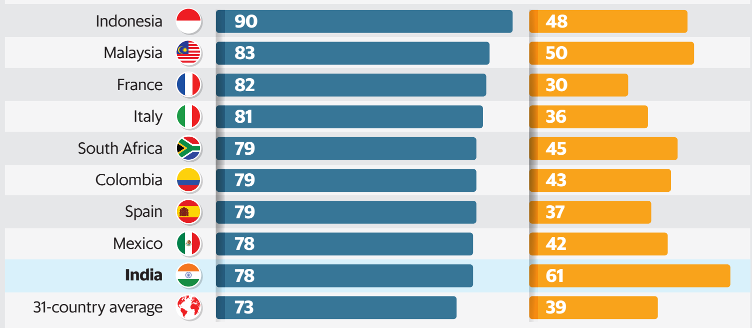
INSIDE

mint | DATA BITES

HOW DO INDIANS VIEW ONLINE SPACES FOR CHILDREN?

India features among the top 10 countries that support banning social media for children under 14 years of age. However, when it comes to AI usage ban in schools, India is more opposed to the idea than others.

Share of respondents (%) with the following view



The survey covered 23,537 online adults (including 1,000 in India) under the age of 75 across 31 countries. Countries most supportive of banning social media for children under the age of 14 years have been shown.

Data: Rupanjal Chauhan
Graphic: Deepak Mishra

Source: Ipsos

COLUMNS

HIMANSHU
INDIA'S SUGAR PRICE SPIKE REFLECTS GAPS IN THE SECTOR'S MANAGEMENT >P12

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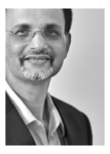

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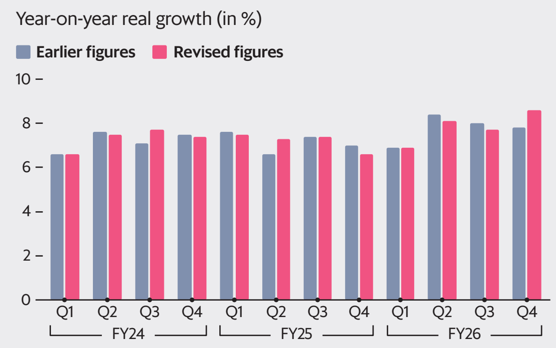
PLAIN FACTS

DATA RECAP THE WEEK IN CHARTS

CURATED BY MANJUL PAUL

From stronger-than-expected economic growth sparking debates over past revisions to a widening current account deficit driven by a sharper merchandise trade gap, a manufacturing activity slowdown, while services recover, a sustained streak in strong GST collections due to import revenues and a weaker monsoon outlook raising concerns over farm output, food inflation and rural demand—here are this week's news in numbers.

DOMESTIC RESILIENCE

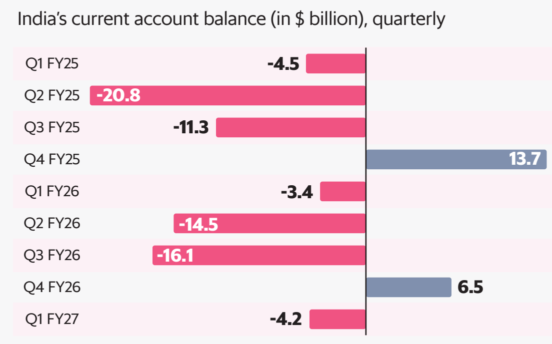


Source: Statistics ministry

INDIA'S GROSS Domestic Product (GDP) expanded at 7.8% in the June quarter (Q1FY27), beating the Reserve Bank of India's (RBI) 7% projection and a *Mint* poll's 7.4% median forecast. The stronger-than-expected growth underscored resilient domestic demand despite uncertainty from the West Asia war.

Growth was broad-based, led by services (10%) and manufacturing (9.2%). Agriculture grew 3.6%. However, the revisions in past growth numbers have raised eyebrows. While growth in the previous quarter was raised by 0.8 percentage points to 8.6%, several quarters have seen downward revision from figures released in early June, owing to methodological changes.

DEFICIT DEEPENS



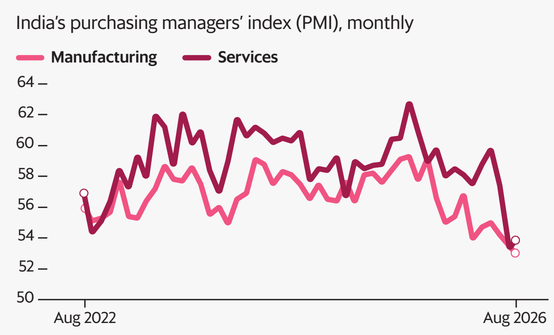
Source: Reserve Bank of India

THE CURRENT account deficit widened marginally in Q1FY27, amid higher commodity prices and a wider trade gap, according to latest data from the Reserve Bank of India (RBI). The gap stood at $4.2 billion, or 0.5% of GDP, in Q1FY27, compared with a revised deficit of $3.4 billion, or 0.4% of GDP, in the same quarter a year ago.

A widening merchandise trade gap continued to outweigh the country's sizable services surplus.

The merchandise trade deficit widened to $86.1 billion in Q1FY27 from $68.9 billion a year earlier, while the services trade expanded to $51.6 billion from $47.9 billion during the quarter under review.

DIVERGING MOMENTUM



A reading above 50 indicates expansion, while below it signals contraction.

Source: HSBC, S&P Global

MANUFACTURING AND services activity expanded in August, although their performances diverged. India's manufacturing growth slowed to its weakest pace in more than five years as a moderation in output and new orders curbed input purchasing, even as export demand rose and inflation moderated.

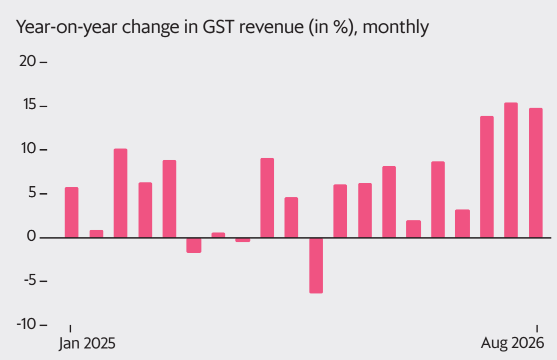
The HSBC India Manufacturing purchasing managers' index (PMI) fell to 52.8 in August from 53.5 in July, slipping below its long-run average of 54.2.

Services activity recovered slightly, with the India services PMI rising to 54.1 in August from 53.3 in July, supported by stronger output and new business, although growth was the lowest in over four years.

NUMBERS TALK

- **26.8%:** India's fiscal deficit as share of budgeted estimates in April-July period, at ₹4.55 trillion. The figure shows fiscal position remained comfortable despite a sharp pick-up in capital expenditure.
- **$5 billion:** The bilateral trade target India and Uzbekistan have set, alongside an agreement to broaden goods trade, remove non-tariff barriers and address investment hurdles.
- **$1 trillion:** The five-year investment state-owned Oil and Natural Gas Corp. plans through fiscal 2031 on deepwater exploration, targeting 5,600 million tonnes of oil-equivalent reserves.
- **1%:** The stake State Bank of India plans to dilute in the National Stock Exchange through an initial public offering, with the lender divesting 0.65% and its subsidiary SBI Capital Markets 0.35%.
- **₹10:** The increase per cylinder in commercial LPG prices across key metros. The hike follows a rise in international LPG prices, with Saudi contract prices for propane and butane increasing last month.

REVENUE STREAK

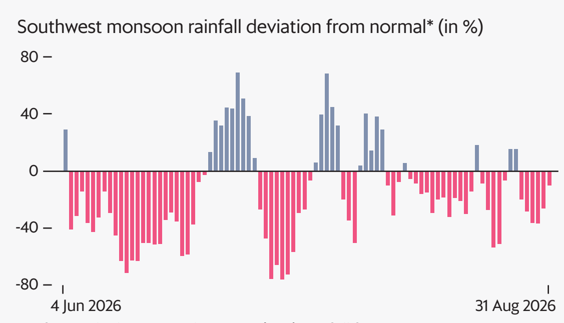


Source: GST Council

THE GOODS and services tax (GST) collections continue to be strong following the initial impact of the rate cuts announced last year. August marked the third straight month of double-digit year-on-year growth. Gross GST collections rose 14.8% to nearly ₹2 trillion in August, but were below the ₹2.1 trillion collected in July.

The increase was driven largely by import revenues, which surged 29% to ₹0.62 trillion. Domestic GST revenue also remained firm, rising 9.3% to ₹1.4 trillion from a year earlier. The increase in gross collections was partly offset by a sharp 67.9% jump in refunds to ₹0.32 trillion in August from a year earlier.

RAINFALL RETREAT



*refers to the long-period average (LPA) rainfall for 1971-2020. The Southwest monsoon season runs from June to September

Source: CMIE

THE SOUTHWEST monsoon has entered its final leg, with September rainfall forecast at 9% below normal, raising concerns over crop yields, food inflation and rural demand. Despite the forecast for below-normal rains this month, parts of northwest, northeast, east, east-central and southeast peninsular India are expected to get normal to above-normal showers, the India Meteorological Department has said.

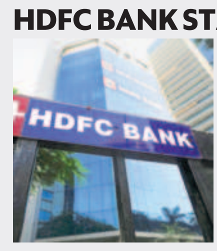
The monsoon has already fared poorly this year, with rainfall below normal on more than 70% of days since its 4 June arrival through late August. The deficit is particularly concerning after India recorded its hottest August since 1901.

MINT BEST OF THE WEEK

GDP NUMBER SCRUTINY

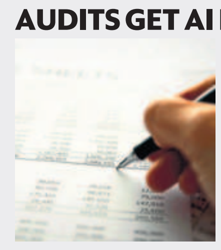
India's 7.8% Q1 GDP growth is provisional and may be revised but the claims of 2.6% growth are based on flawed comparisons across two GDP series. Despite strong headline growth, concerns remain over data revisions, per-capita gains and whether growth is translating into broader prosperity.

HDFC BANK STAKE SHIFT



HDFC Bank's stock gained just 17% under Sashidhar Jagdishan, badly trailing banking peers, even as mutual funds more than doubled their stake. The HDFC merger reshaped ownership, with domestic funds stepping in as foreign investor holdings fell. The next CEO must revive growth.

AUDITS GET AI HEAVY



With more than 600 companies set to change auditors by FY29, top audit firms are adding AI, cyber, data and fraud specialists to win mandates. As businesses become more digital and automated, boards are increasingly judging auditors on technology expertise and audit quality.

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SENSEX 76,152.86 ↓ 417.49 | NIFTY 23,873.45 ↓ 41 | DOLLAR ₹94.51 ↓ ₹0.22 | EURO ₹109.66 ↑ ₹0.24 | OIL $96.42 ↑ $1.77 | POUND ₹127.54 ↑ ₹0.54

Quick filings, AI to power compliance

Faster registrations, MCA21 upgrade to help ease business

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ISTOCKPHOTO

BUSINESS BOOST

COMPLIANCE OVERHAUL

THE corporate affairs ministry is drawing up a reform blueprint

REFORMS will include use of AI and greater automation

COMPANY incorporations often take 10-15 days

India is firming up an overhaul of its corporate compliance rulebook that will make it quicker to register a company—possibly within hours—and easier to shut one that's not working out, while cutting the paperwork in between, according to two people and an official document reviewed by *Mint*. The corporate affairs ministry is drawing up a reform blueprint that will also include use of artificial intelligence and greater automation to speed up scrutiny and filings, the officials said.

The aim is to bring more ease to doing business in India to help the country achieve its developed economy goal by 2047.

Under the plan, the corporate affairs ministry is also examining feasibility of tying some compliance obligations to the size, sector, and risk profile of firms, to ensure smaller unlisted entities are not disproportionately burdened, said the two people cited earlier.

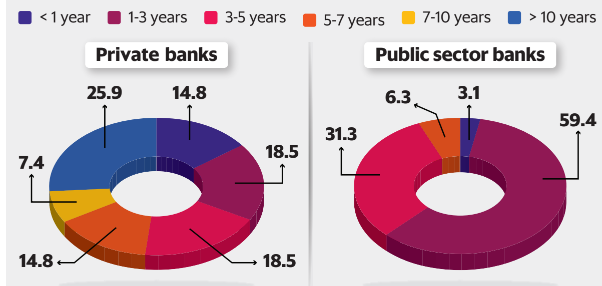
Despite recent improvements, company incorporations often take 10-15 days, while voluntary closure applications get processed in about two months, analysts say.

The corporate affairs ministry, through the Indian Institute of Corporate Affairs, has held consultations on five 'core reform themes' relating to the compliance architecture under the Companies Act, said the people cited above. These themes are: platform excellence, or elevating the performance of the corporate affairs ministry's MCA21 portal for corporate filing to the highest global standards; technology-enabled compliances; intelligent interoperability and seamless data-sharing across platforms; rationalization of forms; and inclusive and

TURN TO PAGE 9

Tenure tally

Tracking the terms of bank CEOs, MDs, chairpersons since 2017.



Analysis based on 59 CEOs, managing directors (MDs) and chairpersons of 27 banks who have left office between 2017 and 2026.

Source: Annual reports, Mint analysis

MANU CHOUDHARY/MINT

Private banks stare at succession crisis

Abhinaba Saha, Niti Kiran & Rushi Gupta
MUMBAI

As HDFC Bank scouts for a successor to CEO Sashidhar Jagdishan, the country's largest private lender confronts a question that might bother its rivals too: do India's private banks have enough leadership depth to manage a new era of recurring transitions?

Private banks are going through more frequent leadership changes than earlier, when stalwarts including K.V. Kamath, Aditya Puri and Uday Kotak led for decades. Kotak Mahindra Bank is now looking for a new chief, and ICICI Bank faces a CEO transition next year.

Many private banks are underprepared for top-level succession, according to headhunting experts, in a landscape marked by high key-person risk, a shallow pool of all-round banking leaders and reliance on familiar candidates.

Over the past decade, 52% of private-bank CEOs served for five years or less, while almost 60% of public-sector bank chiefs left within three years, a *Mint* analysis of annual report data from 27 private and public sector banks from 2017 to 2026 showed. Only a quarter of private sector executives stayed beyond 10 years, with HDFC Bank's Puri recording

TURN TO PAGE 6

4G phones log surprise comeback as prices bite

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Reports on the death of the 4G smartphone appear to be grossly exaggerated.

Of all the smartphones sold in India, just about 5% will be 4G-only phones in 2026, and minimal by 2027, according to predictions from 2025. But as the global demand for memory chips surged, even an entry-level 5G smartphone turned an expensive manufacture, paving the way for a comeback of 4G phones.

"4G smartphones are expected to remain relevant in India, with their share increasing from 11% in 2025 to 15% in 2027—instead of declining steadily as we had originally predicted," said Tarun Pathak, research director at independent market analysis firm Counterpoint India. "Rising memory costs and consequent increase on the bill of materials in entry-level 5G smartphones are encouraging brands to expand their 4G portfolios."

Although both device types use memory chips, 5G smartphones require the more expensive, newer-generation, higher-bandwidth memory

TURN TO PAGE 9

DON'T MISS

BLOOMBERG

Indian companies' earnings recovery hits a margin test

India Inc. started FY27 on a strong footing, with revenue and profit growth accelerating sharply in the June quarter. But the recovery is already showing a fault line: operating margins are weakening even as headline earnings strengthen. >P5

Services economy growth cools to over a four-year low

India's services economy grew in August, but the pace of expansion was the slowest in more than four years, as subdued bookings and intense competition tempered an otherwise resilient demand, as per a private survey on Thursday. >P2

Sebi plans consultation paper; CAS yet to stabilize in a month

Sebi said it will review how settlement prices for derivative contracts are set, after getting feedback on the impact of the new closing auction session on expiry-day pricing. This comes even as CAS remains marred by low participation and abrupt price swings. >P4

Adani eyes fresh debt to refinance Ambuja acquisition

Adani Group is looking to borrow funds through one of the conglomerate's privately held and most profitable entities to refinance debt taken to buy its listed cement business. It is considering raising the debt through promoter-owned Adani Infra (India) Ltd. >P4


Belgian Prime Minister Bart De Wever. PTI

Belgium, India aim to double trade in five years

Ramita Mishra & Harsh Kumar
NEW DELHI

India and Belgium aim to double bilateral trade in the next five years, as the two countries seek to deepen trade, investment and economic cooperation, as per a joint statement on Thursday.

Prime Minister Narendra Modi and his Belgian counterpart Bart De Wever welcomed the expansion of bilateral economic ties and the growing diversification of sectors in bilateral trade, including semiconductors, chemicals, pharmaceuticals, defence industrial collaboration, critical minerals refining and recycling, sustainable industries and nuclear energy.

India-Belgium bilateral trade stood at $10.92 billion in 2025-26, according to the ministry of external affairs' bilateral relations brief updated in June.

"Being at the centre of European integration, Belgium has been an important trade and investment partner for India within the EU for many years, particularly in diamonds, pharmaceuticals, chemicals, and the IT sector. Belgium is also likely to benefit from the India–EU FTA once it is implemented," said Gulshan Sachdeva, professor, Centre for European Studies, Jawaharlal Nehru University (JNU).

"Now both countries are seeking to expand economic ties further into areas such as defence, renewable energy, and semiconductors—sectors in which Belgium has significant expertise. A dedicated investment platform, along with a bilateral agreement on mobility and migration, could further strengthen economic ties," he said.

The leaders also welcomed the successful negotiations for the India-EU Free Trade Agreement during the India-EU Summit on 27 January and called for its timely implementation to realize the potential for greater trade and investment collaboration through diversifying critical value chains and opening new markets.

For an extended version of this story, go to livemint.com.

Goyal calls for unlocking export gains from FTAs

India's nine free trade deals currently cover economies representing about $60 trillion in GDP

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Commerce and industry minister Piyush Goyal on Thursday called for a nationwide drive to boost the utilisation of India's free trade agreements (FTAs), urging states, industry bodies and export promotion councils to take the benefits of preferential market access to individual districts, small industries and first-time exporters.

Addressing a national workshop in New Delhi on leveraging the pacts, Goyal said India's nine FTAs currently cover economies re/presenting about $60 trillion in gross domestic product (GDP) and provide preferential access to nearly two-thirds of global trade.

He said the upcoming trade agreements and efforts to deepen market access could eventually give India access to about 75% of global trade at rates lower than those available to competing countries.

"Ultimately, a PTA (preferential trade agreement), FTA or BTA (bilateral trade agreement) is about obtaining a rate better than that of India's competition," Goyal said, adding that the absolute tariff level was less important than the rate faced by competing countries.

Goyal said India should assess its tariff position against competitors such as Vietnam and Bangladesh, particularly in sectors such as textiles, where Indian exporters have faced higher duties in developed markets.


Commerce and industry minister Piyush Goyal said India should assess its tariff position against competitors such as Vietnam and Bangladesh. PTI

$1 tn
India's target for exports for the current year

The minister said India had now secured rates better than those of competing geographies in almost all developed markets, leaving exporters to focus on scale, quality, timely delivery and maintaining customer trust.

"The ball is now entirely in our court," he said.

India has set a target of $1 trillion in exports for the current year, implying a growth of about 16%, Goyal said. Exports during April-July reached about $317 billion, compared with about $280 billion in the corresponding period a year ago.

Goyal said the current trend was encouraging and exports typically accelerate as the country moves towards the Christmas period, with the final quarter generally recording the strongest performance.

India's operational FTAs include those with Mauritius, Oman, the UAE, Australia and the UK, while the agreement with the four-nation European Free Trade Association (EFTA) is expected to become operational followed by the New Zealand agreement, according to Goyal. The European Union's 27 countries are also expected to be covered subsequently.

He said negotiations or efforts to deepen market access were also underway with Canada, Mexico, Chile, Mercosur, the Southern African Customs Union (SACU), the Gulf Cooperation Council (GCC) and Israel, besides efforts to review India's trade arrangements with the Association of Southeast Asian Nations (ASEAN), South Korea and Japan.

On the proposed India-US bilateral trade agreement, Goyal said the deal would be finalised once the US was able to provide India a preferential rate compared with its competitors, after which the finer details would be announced.

$317 bn
Exports in April-July, compared with $280 bn a year ago

Goyal said all nine FTAs had secured a "good deal" for India, with sensitive sectors, including agriculture, fisheries, MSMEs and workers, protected through negotiations and stakeholder consultations.

He called for the FTA outreach programme to reach all 780 districts and cover traders, startups, women entrepreneurs and MSMEs.

He asked states to identify products and clusters where FTA benefits were already being utilised as well as areas where the benefits remained underused.

For an extended version of this story, go to livemint.com.

Services economy growth cools to over four-year low

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NEW DELHI

India's services economy grew in August, but the pace of expansion was the slowest in more than four years, as subdued bookings and intense competition tempered an otherwise resilient demand, as per a private survey on Thursday.

The seasonally adjusted HSBC India Services Purchasing Managers' Index (PMI), compiled by S&P Global, rose to 54.1 in August from 53.3 in July. The headline reading was slightly below its long-run average of 54.5 and, despite the August improvement, remained the second-weakest since March 2022. A PMI above 50.0 signals expansion in activity.

New business grew at a faster pace, helped by stronger customer demand and marketing initiatives. International demand also remained supportive, with new export orders rising solidly and at a similar rate to July, the survey noted. Companies reported gains from clients in markets including Australia, Brazil, Canada, Japan, Malaysia, Singapore, Sri Lanka and the UAE.

Even so, the increase in export sales remained below its average over the past year. Some firms also reported subdued bookings, intense competition, weaker client interest in selected services and reduced transport operations, the survey said.


Services PMI rose to 54.1 in August from 53.3 in July. MINT

"India's services activity expanded faster in August. Growth was supported by stronger output and new business, although the overall pace was still among the weakest seen in over four years, with some firms citing subdued bookings, competition and reduced transport operations," said Pranjul Bhandari, chief India economist at HSBC.

"Employment increased at a marked rate, with job creation reaching a 15-month high. Price pressures picked up only modestly: input cost inflation edged up slightly, while prices charged rose at the fastest rate since March as firms passed on higher operating costs," Bhandari added.

The HSBC India Composite PMI Output Index stood at 54.3 in August, the slowest in four-and-a-half years.

For an extended version of this story, go to livemint.com.

India plans a GIS-based digital registry for rural road infra

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NEW DELHI

The ministry of rural development is creating a centralized database for rural road infrastructure by establishing a digital roads registry, according to two officials aware of the development. Powered by geographic information system (GIS) mapping, the platform will shift the focus from traditional project-based planning to long-term asset and lifecycle management, these people said.

The proposed registry will capture information at the road, segment and asset levels, including details on pavements, culverts, bridges, drainage systems, retaining walls, road-safety infrastructure, and other associated assets, they added.

The initiative aims to address gaps in the existing district rural roads plan (DRRP), which mainly supports planning and proposal management. Although more than 750,000 km of rural roads have been geo-tagged, the current data primarily covers road alignments and lacks detailed information on associated infrastructure. By bringing these fragmented datasets onto a single digital platform, the rural roads registry will enable more systematic planning, monitoring, and maintenance of rural road infrastructure across the country, said the first person cited above.


The rollout is planned in phases. BLOOMBERG

The move is significant as effective asset management has been hobbled by the lack of a structured inventory for bridges, culverts, and drainage systems, alongside limited data on road conditions, maintenance history, and mapped pavement segments. The initiative comes at a critical time, with the Centre allocating ₹18,907 crore for the Pradhan Mantri Gram Sadak Yojana (PMGSY) in FY27.

The rollout is planned in phases. During FY27, PMGSY road asset mapping will cover 100% of states and union territories. Between FY28 and FY29, the scope will progressively expand to include rural road networks managed by other agencies, such as state public works departments and rural works departments.

"By creating a unified repository of road, segment and asset-level information, the registry will provide a stronger evidence base for planning public investment, prioritising maintenance and allocating resources," said Rohit Kansal, secretary at the ministry of rural development.

For an extended version of this story, go to livemint.com

Govt weighs new ethanol feedstock plan

Vijay C Roy & Dhirendra Kumar
NEW DELHI

The Centre plans to hold an interministerial meeting to devise a forward-looking strategy to diversify ethanol feedstocks amid declining sugarcane and maize acreage, three people aware of the matter said.

The strategy could involve greater reliance on grains to sustain E20 fuel blending, given the lower availability of sugarcane and maize, particularly in the 2026 kharif season, and a sharp rise in sugar prices ahead of the festive season.

The average retail sugar price stood at ₹63.28 per kilogram on 31 August, up 37.5% year-on-year. The government has taken several measures to curb the rise, including allowing imports of 1 mt of raw sugar, halving the stockholding limit for sugar dealers to 2,000 quintals, and restricting bulk consumers to stocks equivalent to 15 days of consumption.

"The government is also considering limiting the diversion of sugarcane for ethanol to protect sugar supplies amid lower output and rising prices," said the first of the three people cited above.


The area under sugarcane and maize showed a decline in the latest acreage data, potentially tightening availability. PTI

"The emerging road map could focus on balancing food and fuel needs while expanding grain-based distillery capacity," this person said, adding that there has been no discussion of rolling back the 20% ethanol blending mandate.

The average retail price of sugar stood at ₹63.28 per kilogram on 31 August, up 37.5% year-on-year

"The policy landscape will focus on keeping the allocation quota flexible and allowing diversification of raw material for ethanol production, based on the actual availability and production of sugarcane, maize and other grains," the second person said.

Mint reported on 27 August that the petroleum ministry is in talks with state-run oil marketing companies to explore the feasibility of replacing E20 (20% ethanol) with E10 in Octane 95 petrol.

Maize remains largest ethanol feedstock, followed by surplus Food Corporation of India grains, sugarcane juice, B-heavy molasses and damaged foodgrains.

The area under maize and sugarcane showed a decline in the latest acreage data, potentially tightening the availability of two key feedstocks for the ethanol programme. Maize acreage stood at 8.99 million hectares as of 28 August, down from 9.38 million hectares a year ago. Sugarcane acreage was 5.84 million hectares, against 43,000 hectares.

"For a country like India, maintaining stable prices of sugar and livestock feed is key to ensuring stability in the supply chain. Any disruption could lead to price increases, as witnessed in the case of sugar and poultry feed, where higher feed costs have pushed up egg prices. If the trend continues, milk prices could also come under pressure," the third person said.

Queries emailed to the ministries of agriculture, petroleum and natural gas and the department of food and public distribution remained unanswered.

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For an extended version of this story, go to livemint.com

MINT SHORTS

Govt to roll out Bharat NCAP 2.0 from Oct 2027: Gadkari

New Delhi: The government is planning to roll out Bharat NCAP 2.0 from October 2027, which will assess the complete safety framework and address the severe challenge of road accidents , Union minister Nitin Gadkari said on Thursday. Launched in 2013, Bharat NCAP (Bharat New Car Assessment Program) is India's official vehicle safety rating system. PTI


REUTERS

Canada assesses import risks after India raid finds fake labels

Ottawa/New Delhi: The Canadian Food Inspection Agency is looking into whether an illegal operation in India that labelled chips and other food products with fake nutrition information and expiry dates represents a risk to the country's imports. Indian authorities raided a Mumbai warehouse last week, seizing products worth nearly $80,000 as well as chemicals and printing machines used to replace old dates and nutritional information on PepsiCo, Nestle, Coca-Cola and Unilever products to make them suitable for export. REUTERS

India-NZ trade pact may come into force from next month

New Delhi: The India-New Zealand free trade agreement (FTA)_ is likely to come into force next month, an official said on Thursday. The two countries signed a deal on 27 April to boost two-way commerce and promote investments. The FTA provides duty-free access for 100% of India's exports to New Zealand. PTI


MINT

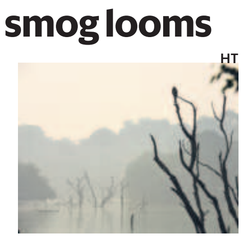
India is ready to help end war in Ukraine: Jaishankar


PTI

Kyiv: India is ready to help end the war in Ukraine, foreign minister S. Jaishankar said on Thursday on a visit to Kyiv. "If India can be of any help, in any manner, we are there," Jaishankar told reporters, speaking alongside Ukrainian foreign minister Andrii Sybiha. He said attacks on commercial shipping featured prominently in discussions between the two ministers. REUTERS

Delhi-NCR unveils 7-month pollution plan as smog looms

New Delhi: Delhi and its neighbouring states in the National Capital Region (NCR) have drawn up a seven-month programme to curb air pollution, with a greater focus on public outreach, behavioural change and preventing crop-residue burning ahead of winter. The action plan covers September 2026 to March 2027. VIJAY C ROY


HT

Central bank rejects all bids in government bond buyback

The Reserve Bank of India did not accept any bids in an auction to buyback government bonds, results released on Thursday showed. The buyback included bonds maturing this financial year. Investors offered bonds worth only 10% of the ₹30,000 vrore New Delhi sought to buy through the buyback. REUTERS

CORRECTIONS AND CLARIFICATIONS

A 3 September, Page 7 story, 'AB InBev turns to state policy shifts for its next India bets', and its picture caption should have identified Kartikeya Sharma as president, AB InBev India. The error is regretted.

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First published in February 2007 to serve as an unbiased and clear-minded chronicler of the Indian Dream.

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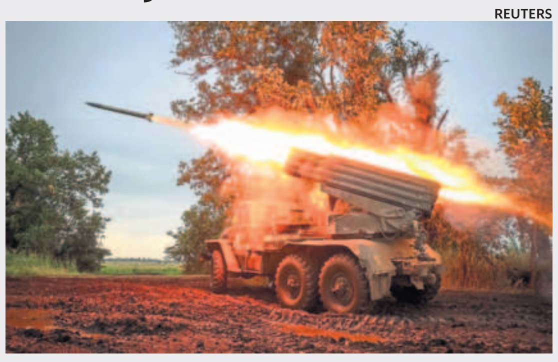
MINT SHORTS

India stalls Alipay+ payments link over security concerns: sources

New Delhi/Mumbai: Alipay+'s proposal to link with India's instant payments system for cross-border transactions has been stalled due to national security concerns in New Delhi and questions about the storage and use of customer data, three people said. The proposal, made by Alipay+ in January, was the first by a China-linked entity in the financial services sector and came against the backdrop of easing tensions between the two neighbours, after a deadly border clash in 2020. New Delhi and Beijing are working on maintaining peace at the border. **REUTERS**

Bharat Forge unit, Thales sign rocket systems alliance

REUTERS



Bengaluru: Bharat Forge's defence unit signed an agreement with France's Thales to establish advanced industrial capability to build 70-mm rocket systems in India, the fifth-largest military spender and second-largest arms importer, according to data from the Stockholm International Peace Research Institute. In recent years, it has been pushing for domestic manufacturing of defence equipment either on its own or in collaboration with foreign partners. **REUTERS**

Nodal Exchange is planning AI compute futures to rival CME, ICE

New York: Nodal Exchange Holdings, LLC is seeking to launch futures contracts on computing power for artificial intelligence (AI) chips, joining a host of firms. Nodal, which offers electricity futures and options across locations in North America, plans to introduce contracts before the end of the year that are based on the price to rent Nvidia Corp.'s semiconductors. **BLOOMBERG**

AI's environmental impact per task balloons with more complexity

New York: As AI use shifts from simple, one-off queries to longer and more complex tasks, the added computing required results in a dramatically larger environmental footprint. The energy needed to build a web app using some models is equivalent to powering a home for 2 1/2 hours, according to a new analysis from Vals AI, which evaluates models on real-world tasks. **BLOOMBERG**

Device costs, spectrum snag test India's disaster network

Trials flagged data delays, poor coverage, and priority-access failures, besides device issues

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With deadly floods battering Nepal, India is stepping up efforts to modernize its public-safety and disaster-response networks.

However, the high cost of devices, confusion over whether to use dedicated spectrum or spectrum shared with telecom operators, and shortcomings in the network trials they conducted are among the key concerns the government is currently facing, according to officials and industry executives.

At a meeting with device and equipment manufacturers and technology providers, including Ericsson, Tejas Networks Ltd, Motorola Solutions Inc., Sepura Ltd and Zebra Technologies Corp., on Wednesday, the home ministry and department of telecommunications (DoT) asked them to keep handset prices realistic. The government officials said handsets costing ₹1,00,000 would not be viable.

Devices used for public protection and disaster relief (PPDR) services—specialized communication networks used by first responders such as police, fire brigades and medical personnel—differ from standard consumer handsets and are designed to withstand demanding emergency operations.

The government has also sought the industry's suggestions on which network architecture to deploy. The home ministry's directorate of coordination police wireless (DCPW) is currently evaluating three deployment models: a single telecom operator with dedicated spectrum; a single operator without spectrum; or a roaming agreement model with multiple operators, similar to the one used in France.

Officials say public protection and disaster relief (PPDR) handsets, priced at around ₹1 lakh, are considered too expensive for the first responders.. AP

In France, PPDR services primarily use commercial telecom networks and spectrum, with priority access for emergency users, while dedicated government spectrum is used for tactical and emergency communications.

Samsung is also involved in discussions with the government, according to the officials. "The plan is to currently have 500,000 handsets with Broadband PPDR capabilities and new technology. Today, we have 3.8 million police and CAPF (Central Armed Police Forces) personnel. In the time to come, we will definitely increase it to 1 million and later have a capacity of 3 million to 5 million," a government official said on the condition of anonymity.

"The industry has suggested that a consultation should be done on device parameters, including security aspects, spectrum models, device and technology standards for better coordination and interoperability, among other things. The same is under consideration," the official added.

A working group with industry representatives has already been set up to identify key requirements and expedite the project, the official said.

Mint's queries emailed to the ministry of home affairs, DCPW, DoT, telecom operators, and equipment and device makers—Samsung, Sepura, Motorola—remained unanswered.

India is looking to modernize its public protection and disaster relief communication networks with enhanced broadband capabilities. The upgrade is needed as the existing infrastructure is largely fragmented, offers limited bandwidth or relies on ageing analogue systems primarily designed for voice communication.

DoT and DCPW, along with telecom operators—Bharti Airtel Ltd, Vodafone Idea Ltd, Reliance Jio Infocomm Ltd, and BSNL—have conducted proof-of-concept trials using telcos' spectrum at locations in Amritsar, Punjab, the Andaman and Nicobar Islands, and Mumbai for 87 test cases.

"Tejas Networks is actively engaging with relevant government stakeholders regarding the PPDR opportunity. Tejas has successfully participated in the PPDR trials conducted by BSNL in Amritsar and Port Blair," the company said in response to *Mint's* emailed queries.

"PPDR is a topic that holds much interest for governments across the globe. With our global 5G experience, we continue to have discussions with governments on this subject," said an Ericsson Spokesperson, in response to *Mint's* queries.

Tejas is looking to participate as a networking connectivity provider for the PPDR network, it said.

For an extended version of this story, go to livemint.com.

DISASTER RESPONSE

GOVT initially plans 500,000 broadband PPDR handsets, eventually scaling to around 3-5 million

IT is weighing three models—dedicated spectrum, a single operator or multi-operator roaming

NOW, PPDR infra is fragmented, with limited bandwidth and ageing analogue systems still in use

TELCOS and Centre conducted 87 PPDR trials across Mumbai, Amritsar, Andaman and Nicobar Islands

Slice raises $100 mn in first round as a bank

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Slice is raising $100 million in its first funding round since becoming a bank, valuing the fintech-turned-lender at $450-470 million, people familiar with the matter said. This is less than a third of the roughly $1.5 billion valuation that Slice commanded in 2022.

An extraordinary general meeting notice issued by Slice Small Finance Bank Ltd and reviewed by *Mint* shows that the lender is seeking shareholder approval to raise ₹485 crore through compulsorily convertible debentures and partly paid equity shares. The proposed fundraise comprises ₹403.47 crore through compulsorily convertible debentures and ₹81.49 crore through partly paid equity shares.

The EGM, scheduled for Friday, names Moore Strategic Ventures, Japan's Kado Global, Neo entities, Blume Ventures, Raise Fintech, the parent company of stockbroking app Dhan, and PixelSky Capital among the proposed investors. Moore Strategic Ventures is expected to invest ₹106 crore, Kado Global ₹95 crore, Blume Ventures ₹44 crore, Raise Fintech ₹40 crore and PixelSky Capital ₹25 crore.

The round includes a $5-10 million secondary component, in which existing shareholders sold shares to incoming investors, one of the people said, adding that the round was fully subscribed.

Slice didn't reply to *Mint's* request seeking comment.

For an extended version of this story, go to livemint.com.

What the US Clarity Act could mean for crypto and India's future

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The global digital asset market is at the cusp of a possible structural shift as the US Senate prepares to vote on the Clarity Act. Having cleared the House in July 2025 and the Senate Banking Committee in May 2026, the legislation marks a potential transition from unpredictable 'regulation-by-enforcement' towards a comprehensive statutory market structure.

India regulates crypto assets through strict compliance guardrails on taxation, anti-money laundering (AML) and tax reporting, rather than a dedicated market regulator.

India is unlikely to blindly replicate US laws, experts said, but global developments are accelerating the legitimization of digital assets and shifting crypto from largely speculative trading towards a recognised investment asset class.

There is no immediate change or impact on Indian crypto investors. However, clearer global rules across markets such as the US, EU and Dubai could reduce systemic platform risks and provide safer offshore benchmarks for the industry.

The proposed US law splits digital assets between SEC and CFTC oversight, with Bitcoin and Ethereum under the CFTC. ISTOCKPHOTO

The Clarity Act establishes statutory legal definitions, assigns explicit agency authority and sets compliance obligations for industry participants.

Under the proposed law, the Securities and Exchange Commission (SEC) retains oversight of digital assets, including cryptocurrencies. Tokenized stocks and digital corporate bonds, for instance, are classified as securities, while the Commodity Futures Trading Commission (CFTC) gains full regulatory jurisdiction over spot markets in digital commodities.

Currently, cryptocurrencies are split into two categories. Digital commodities are tokens tied to functional, decentralised blockchains that fall under CFTC jurisdiction. Bitcoin and Ethereum are examples of digital commodities, as their value derives directly from distributed network utility rather than a central issuing entity.

The second category comprises tokens that depend on central managerial efforts and remain under SEC oversight as securities. Exchanges, brokers and dealers will register with CFTC and become subject to Bank Secrecy Act rules, mandatory KYC/AML programmes, and forthcoming custody and asset-segregation requirements.

India's crypto framework is compliance-led, centred on taxation, AML registration and tax reporting

Vikaas M. Sachdeva, CEO of Bid Delta India, highlighted that the Act's core value lies in removing operational ambiguity. "The Clarity Act actually reduces regulatory risk premium," Sachdeva explained, noting that it answers fundamental business questions regarding asset classification, jurisdiction, and intermediary obligations. Muthuswamy Iyer, chief compliance officer of Bid Delta India, added that this framework aligns the US with international benchmarks like Dubai's VARA and Singapore's MAS, standardising conduct, licensing, and capital adequacy expectations.

In contrast to the US's market-structure approach, India monitors and taxes crypto assets without a dedicated statutory framework.

Sumit Gupta, co-founder of CoinDCX, said India's framework rests on three main pillars: tax law (a 30% flat tax and 1% TDS), mandatory AML registration with FIU-IND (Financial Intelligence Unit—India), and direct exchange-to-tax reporting under the Crypto Asset Reporting Framework launching in April 2026.

Sachdeva emphasised that the two nations operate from different vantage points. While the US is constructing a commercial market structure, India has focused on building compliance guardrails prioritizing financial stability, consumer protection, and AML traceability.

Could the US framework influence India's eventual approach? Experts believe any direct mirroring of US legislation will be minimal.

Gupta stressed that India's policy decisions remain guided by domestic macroeconomic and market conditions, even as a close eye is kept on foreign frameworks.

Iyer pointed out that Indian policy discussions evaluate a diverse mix of global practices, including the EU's MiCA, Dubai, and Singapore.

While domestic regulatory thinking matures, India's Parliamentary Standing Committee on Finance has recommended a recognised Self-Regulatory Organisation alongside FIU-IND as an interim oversight mechanism, pending a comprehensive Virtual Digital Asset law.

For an extended version of this story, go to livemint.com.

Prasad and Gupta set up Arjav Capital to establish a playbook for mid-market buyouts in industrials and manufacturing. ISTOCKPHOTO

Family offices back Arjav's ₹2,500-cr debut buyout fund

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Arjav Capital, backed by several prominent family offices, is in the process of raising a ₹2,500 crore fund—its maiden vehicle—that will target buyout opportunities in the industrial and manufacturing segments, top executives at the investment firm said.

The capital was raised from domestic family offices and overseas investors, including Sanjay Nayar (ex-KKR), Johannes Huth (ex-KKR), Akhil Gupta (ex-Bharti Enterprises), Yogesh Mahansaria (Mahansaria Tyres), Nilesh Ved (Apparel Group), Angad Banga (Caravel Group), Paras Chandaria (UST Global) and DIG Investment, Sweden-based multi-family investment office. "We plan to announce our first close of ₹1,000 crore over the next few months, of which ₹700 crore has been raised. The corpus (₹2,500 crore), has provisions for co-investments from LPs and includes a ₹500 crore green shoe option," Akshaya Prasad, founder and managing partner at the firm, told *Mint*.

Arjav's maiden fund has raised ₹700 crore so far and plans a ₹1,000 crore first close over the next few months

In his previous role, Prasad used to head the India practice of UK- based Greater Pacific Capital and had a stint at Goldman Sachs, overseeing infrastructure investing.

Anubhav Gupta, co-founder & managing director at Arjav, added that the firm's strategy is heavily focused on control-oriented transactions and ownership transition. "It was important to have the operating muscle and investor base that understands how to scale businesses in India. This thesis resonates most with family offices, as reflected in the profile of investors in the fund," he said in the joint interaction.

Prasad and Gupta—an entrepreneur—set up Arjav Capital to establish a playbook for mid-market buyouts in industrials and manufacturing, a theme that is common globally. It onboarded Apoorv Somani, who worked at Ola, JM Financial and EY, to its core investment team.

Arjav Capital will back subsegments such as auto and auto components, packaging, building materials, including fittings and furnishing, elements of pharma contract manufacturing, and power transmission.

For an extended version of this story, go to livemint.com.

Cheaper power, land give India data centres cost advantage

Yadukrishna C.S. & Jas Bardia
MUMBAI/BENGALURU

India's data centre industry is gaining ground against rival markets on cost, with cheaper power, land and construction helping operators attract hyperscalers even as governments offer additional incentives.

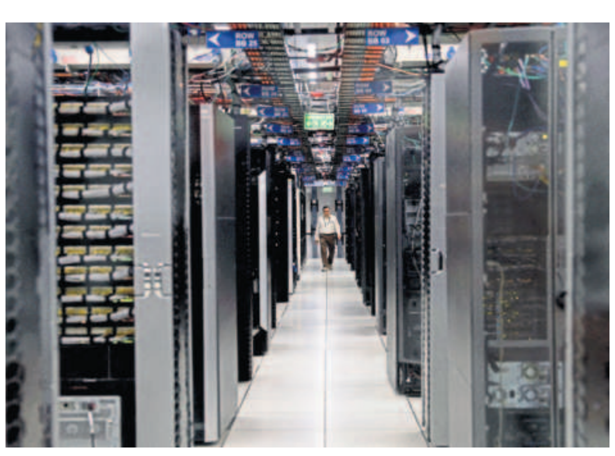
The cost of setting up a data centre in India is 30-50% lower than in developed markets across Asia, Europe and the US, according to a Nomura report dated 2 June. Building a facility costs $6-7 million per MW in India, versus $10-14 million per MW in the US and Europe, excluding land and computing equipment.

Cheaper land and electricity account for about a third of the total setup cost, Nomura said. Lower labour and construction costs, cheaper materials and a growing domestic supply chain further widen the gap.

The cost advantage comes as India's data-centre capacity is set to surge to 12GW by 2030, according to research firm Wood McKenzie. India's current data-centre capacity is 1.5GW, government data showed. In 2025, India added 387MW of capacity, more than double the 191MW added in 2024, per data analytics firm Rubix Data Sciences.

The advantage extends beyond construction. Electricity is a major operating expense, accounting for about a fifth of the total cost of running a data centre.

Electricity costs about 8.4 US cents (approximately ₹7.8) per kilowatt-hour (kWh) in Chennai, less than half Singapore's 18.1 cents. Mumbai, at 12.8 cents, is also cheaper than Sydney and Tokyo, where power costs about 15 cents and 14.3 cents, respectively.



The cost advantage comes as India's data-centre capacity is set to surge to 12GW by 2030, according to Wood McKenzie. REUTERS

Operators can also use open-access arrangements, renewable power purchase agreements and captive sourcing to lower their effective power costs, according to Nomura.

"We think the real advantage emerges at the effective power cost level, where open access, renewable PPAs (power purchase agreements), and captive sourcing can reduce costs to ~6–7 US¢/kWh. This brings India closer to the lowest-cost global benchmarks while benefiting from stronger demand depth, scalability, and a more mature colocation ecosystem," said the Nomura report.

"Despite not always leading on grid tariffs, India's blended cost structure and procurement flexibility make it one of the more attractive markets for hyperscale data centre deployment in APAC, in our view," the report stated.

Electricity is a major expense, accounting for about a fifth of the total cost of running a data centre

Vijay Agarwal, analyst at Equirus, said lower power costs and greater access to renewable energy were also giving India an edge.

"Power availability has improved sharply. India recently crossed 500GW of installed capacity, with a rising share of renewable generation. On the ground, operators increasingly bypass expensive state utility tariffs altogether: open-access power purchase agreements can land renewable power at ₹4-7/unit versus ₹7-10/unit from state distribution companies, a difference that compounds over a 20-25-year asset life," Agarwal said.

Government incentives are "more of a margin enhancer on top of an already-lower base cost," Agarwal said.

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For an extended version of this story, go to livemint.com.

Index	Close	Percent change	Previous close	Open	High	Low
BSE Sensex	76,152.86	-0.55	76,570.35	76,724.95	76,924.48	76,152.86
Nifty 50	23,873.45	-0.17	23,914.45	23,997.95	24,025.40	23,873.45
Nifty 500	23,254.05	0.13	23,222.80	23,300.75	23,332.85	23,237.25
Nifty Next 50	73,051.85	0.14	72,947.45	73,081.30	73,210.35	72,855.20
Nifty 100	25,013.45	-0.11	25,041.65	25,121.35	25,151.90	25,003.85
BSE 150 MidCap	17,098.91	0.15	17,074.08	17,139.65	17,149.71	17,066.57
BSE 250 SmallCap	7,264.06	1.01	7,191.62	7,228.45	7,269.66	7,224.88

Will Ather's Konarc bet pay off?

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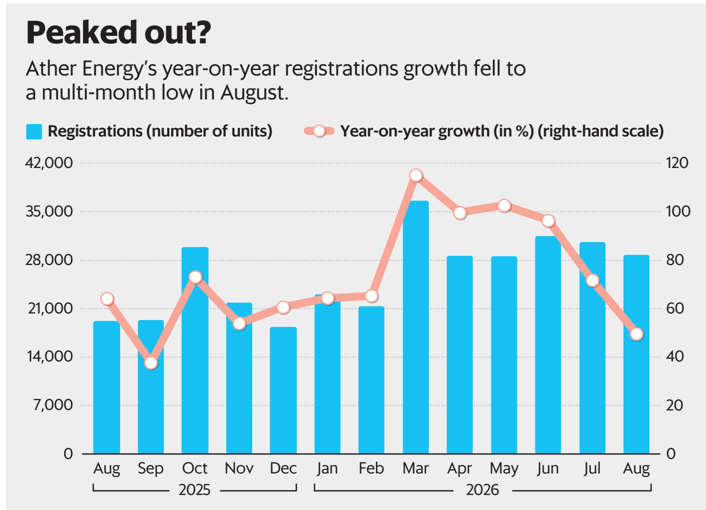
Ather Energy's stock has gained almost 30% in the past month, taking its one-year return to 230%. Resilient progress towards profitability, market-share gains, a new mass-market scooter and a larger bet from its biggest shareholder have all strengthened the growth narrative. But after such a sharp run-up, what can drive the stock from here?

The June quarter (Q1FY27) set a high bar. Operating revenue rose 89% year-on-year to ₹1,217 crore, while its Ebitda loss, excluding other income, narrowed sharply to ₹33 crore from ₹134 crore a year earlier. Including other income, Ebitda turned positive.

The narrowing loss reflected operating leverage as volumes scaled. Optimism was further buoyed by retail demand running ahead of wholesale dispatches. Retail registration grew 102% outpacing the 81% growth in wholesale registrations, bringing dealer inventory down from 14 days to just three.



Data at month-end.
Source: Vahan
PRATEEK KUMAR/MINT

But growth slowed in August. At 28,757 units, registrations grew 49% from a year earlier—the third straight month of slowing growth. While market share improved from July's low of 14.9% to 15.7%, it remained below 17.5% in August 2025, according to Kotak Institutional Equities. So far in FY27, however, Ather has gained ground, with market share at 16.2%, compared with 15.4% a year ago.

Amid intensifying competition, Ather's new launch, Konarc, becomes critical. Launched on 29 August at an ex-showroom price of ₹99,999, the scooter targets the affordable ₹1 lakh-1.2 lakh segment, which management estimates accounts for 45-55% of the e-scooter market—a price band where Ather previously had no product.

Rizta, its family scooter, accounted for 80% of deliveries in July. Deliveries of Konarc are scheduled to begin in September. Ather plans to more than double its retail footprint to 1,800-2,000 stores over the next two years, while its upcoming Chhatrapati Sambhajinagar plant will add 500,000 units of annual capacity by the end of this year, taking total capacity up from the current 420,000 units.

"The new Konarc marks Ather's entry into the mass-market E2W segment which we believe will double its total-addressable-market," said Nomura Research. It estimates Konarc sales of 24,000 units in FY27 and 240,000 in FY28.

Ather's chief executive Tarun Mehta hopes Konarc will account for over 50% of Ather's revenue in a year. He also expects the new EL platform, on which Konarc is based, to have stronger underlying economics, helped by lower aluminium use and simpler engineering.

REVENUE DRIVER

AMID intensifying competition, Ather Energy's new launch, Konarc, becomes critical

CEO Tarun Mehta hopes Konarc will account for over 50% of Ather's revenue in a year

Amid this evolving market dynamics, Hero MotoCorp has raised its stake in Ather. With an investment of ₹1,758 crore, Hero's stake will rise from 29.88% to 32.8%.

The risks, however, are rising in tandem with the opportunity. TVS Motor Co. and Bajaj Auto are scaling rapidly, while higher commodity costs amid the West Asia conflict have already pressured Ather's gross margins. Moving down the price ladder could also test its pricing power and margins.

The next few quarters will determine whether Ather can convert Konarc's promise into volumes without sacrificing profitability amid intense competition. But the stock has already risen more than 400% since its debut in May 2025, leaving little room for execution missteps that could punish its shares.

Plastic pipe makers poised for recovery after a tough Q1

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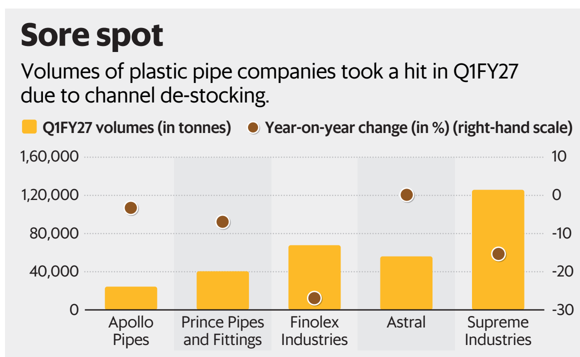
Plastic pipe makers are set for a turnaround in Q2FY27 following a turbulent June quarter (Q1FY27). During Q1FY27, listed manufacturers suffered lower volumes driven by channel destocking, as falling import duties, greater availability of cheap Chinese polyvinyl chloride (PVC) resin, and sluggish demand weighed on PVC prices.

Aggregate volumes for plastic pipe companies tracked by PL Capital dropped around 16% year-on-year in Q1FY27. The agricultural pipes segment took a bigger hit than non-agricultural (plumbing) pipes. Despite March-June being peak season, demand for agricultural pipes remained muted as elevated fertilizer costs and high PVC prices hurt volumes.

Global PVC prices are also inching up. Channel re-stocking has improved since early July and domestic PVC resin prices have consistently increased from ₹78 a kg then to ₹94 a kg on 1 September, the PL report added. Increased shipping rates are also likely to make imports dearer.



Source: Company, Nuvama Research
PRATEEK KUMAR/MINT

The improved visibility on PVC resin prices bodes well for channel re-stocking and volume recovery for listed companies. Astral has guided for double-digit pipe volume growth and more than 20% value growth in FY27, with Ebitda margin guidance at 16-18%. Supreme Industries eyes pipe volume growth of 15-17% and an Ebitda margin of 14%-14.5% this year. Prince Pipes and Fittings expects 12-15% volume growth and an Ebitda margin of 11-13%.

Margins remained resilient in Q1FY27 despite volume pressure. Pipe manufacturers covered by Nuvama Research benefited from a favourable product mix, driving year-on-year margin expansion across the board during the quarter.

Astral recorded a 40 basis point (bps) margin improvement to 18.3%, while Supreme Industries reached 14.6% (up 240 bps). Prince Pipes expanded its margin to 12.7% (up 580 bps), and Finolex Industries' margin rose to 12.1% (up 310 bps). These stocks have delivered mixed returns over the past six months.

Despite near-term pain, companies continue to invest towards capacity expansions. Astral has allocated a capital expenditure of ₹300-350 crore for FY27 and has invested ₹137 crore in Q1FY27. Supreme has laid out a capex of ₹1,000 crore. The Finolex management assured that capacity expansion plans and ₹125-200 crore capital outlay remain intact irrespective of ongoing macro volatility.

Mark to Market writers do not hold positions in the companies discussed here unless otherwise informed

Adani eyes fresh debt to refinance Ambuja acquisition

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MUMBAI

Adani family took $3.5 billion loan in 2023 for Ambuja. MINT

The Adani Group is looking to borrow funds through one of the conglomerate's privately held and most profitable entities to refinance debt taken to acquire its listed cement business.

The group is considering raising the debt through promoter-owned Adani Infra (India) Ltd to refinance part of the loan taken by the Adani family to fund the acquisition of Ambuja Cement and ACC four years ago.

It is looking to get favourable interest rates by leveraging Adani Infra's orderbook of over ₹50,000 crore and annual profit of more than ₹7,000 crore, a person directly aware of the development said.

The plan is still in the early stages of exploration and the quantum of the debt to be raised has not been decided. However, it could be upward of $1 billion (about ₹9,400 crore), the person said. The Adani family had borrowed $3.5 billion in 2023 to fund the Ambuja acquisition.

The plan is still in the early stages of exploration and the quantum of the debt to be raised has not been decided

The loan could be syndicated from a consortium of foreign banks. Private credit funds could also be tapped, the person said on condition of anonymity because the details are private and confidential.

Adani Infra was designated as the project management consultant and engineering, procurement and construction (EPC) arm for the Adani Group at the beginning of FY25. Since then, the company has been the nodal agency for all of the group's infrastructure projects. Earlier, this work was handled by separate project management teams at each company.

In just two years, the company has grown rapidly, given the scale of Adani's infrastructure investments. The Ahmedabad-based conglomerate has said that its capital expenditure surpassed ₹1.5 trillion in FY26.

Adani had earlier explored raising up to $1 billion in debt through Adani Infra by issuing dollar-denominated bonds, *Mint* reported in December. However, the plan was shelved due to turmoil in the global debt markets as the US and Israel attacked Iran. The Adani Group did not respond to *Mint*'s request for a comment.

Endeavour Trade and Investment Ltd, a Mauritius-based private entity controlled by the Adani family, raised $3.5 billion in debt from 10 banks for a tenor of three years, according to a press release dated 20 October 2023. The money was raised to refinance the bridge loans taken to fund the $6.6-billion acquisition of Ambuja and ACC in September 2022. *Mint* could not ascertain if this debt has since been refinanced.

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Why SC rejected a ₹900 cr claim against Edelweiss

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The SC said PCM Nuvama Clearing Services cannot be forced to pay back or restore client securities worth over ₹900 crore. MINT

EXPLAINER

The Supreme Court has put an end to a long-standing legal fight over who bears responsibility when a stockbroker runs into losses, after running an unauthorized fixed-return scheme.

In a major ruling, the top court held that Professional Clearing Member (PCM) Nuvama Clearing Services Ltd, formerly known as Edelweiss Custodial Services Ltd, cannot be forced to pay back or restore client securities worth over ₹900 crore. Overturning lower tribunal orders, the Supreme Court ruled that PCMs operated without direct client-level visibility under earlier regulatory rules and therefore cannot be held financially liable for defaults committed by independent stockbrokers.

The ruling came in *Edelweiss Custodial Services Limited v. NSE Clearing Ltd.* decided on 2 September 2026.

A PCM is a specialized clearing entity that clears and settles trades for stockbrokers on the stock exchange.

The dispute began when stockbroker Anugrah Stock & Broking lured retail investors into a fixed-return scheme, taking their shares as collateral and pledging them in bulk to its PCM, Edelweiss Custodial Services.

This was done to fund its F&O activities. When Anugrah suffered losses in early 2020 and defaulted on its financial obligations, Edelweiss sold the pledged shares in the open market to settle the broker's dues with the stock exchange.

The retail investors then complained to authorities including Sebi, NSE Clearing Ltd. (NCL), the Economic Offences Wing and the Securities Appellate Tribunal. In 2021, an NCL committee asked Edelweiss to refund over ₹900 crore worth of shares.

Later, in 2023, even the SAT ordered Edelweiss to pay, holding that Edelweiss had failed to exercise due diligence.

The tribunal ruled on grounds of "equity and fairness" that a clearing member should not have used retail clients' securities to cover a broker's trading debts.

The judgment mentioned that the clearing member had liquidated the shares before 30 June 2020.

A Sebi circular dated 25 February 2020, said that all stockbrokers accept securities as collateral only via a direct "margin pledge" created within the depository system starting 1 June 2020. It also explicitly instructed trading members and clearing members to close all existing demat accounts tagged as 'client margin or collateral' by 30 June 2020.

The 30 June 2020 deadline is crucial because, before that date, clearing members had no way of knowing who actually owned the underlying shares. Stockbrokers used to collect shares from all their clients and pool them into one account labelled "client margin".

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Sebi moves to ease MF settlement needs

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The Securities and Exchange Board of India (Sebi) has proposed allowing mutual fund (MF) schemes to settle cash obligations from stock-market transactions on a net basis, while keeping settlement of securities on a gross, delivery-based basis.

The consultation paper issued on Thursday is aimed at reducing temporary liquidity requirements and improving settlement efficiency for MF schemes. Under the current framework, MF trades are settled on a gross basis. This means a scheme has to arrange money for its purchases separately, even if it is also due to receive money from sales in the same settlement cycle.

Sebi has proposed allowing net settlement of funds for outright transactions carried out by MF schemes on recognised exchanges. An outright transaction means that a MF either buys or sells a particular security during a settlement cycle, but not both. For example, if a scheme buys securities worth ₹100 crore and has eligible sales worth ₹90 crore, it could settle the net cash requirement of ₹10 crore instead of arranging the full purchase amount separately. The plan, however, does not allow this for every transaction.

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CAS yet to find its feet; Sebi plans paper

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On 3 August, the stock market regulator brought 213 stocks available for derivatives trading under CAS REUTERS

The stock market regulator on Thursday said it will review how settlement prices for derivative contracts are determined, following industry feedback on the impact of the new closing auction session (CAS) on expiry-day pricing. A consultation paper proposing changes to the methodology is likely next week, even as the one-month-old CAS remains marred by low participation and occasional abrupt price swings.

Designed to enhance pricing transparency, CAS was introduced in the equity cash segment for 213 derivative-traded stocks on 3 August. The closing price, established by matching the maximum number of buy and sell orders in the last 15 minutes of trading, is also used to determine settlement prices for derivative contracts on expiry.

The Securities and Exchange Board of India said it had monitored the functioning of CAS closely and held discussions with market participants.

Under the CAS framework, market participants once used to full price visibility at the day's end now wait in suspense, as the auction and pricing mechanism plays out over the last 15 minutes. On Thursday, the BSE Sensex plunged about 2,100 points in the first five minutes of the auction session, only to recover soon after. The index ultimately closed 417 points lower at 76,152.86.

Trade volumes during CAS declined 24.3% from 3 August to 19.6 million on 28 August, while the trade value dropped 26% to ₹944.94 crore, NSE data showed. Participation recovered at the end of the month following the MSCI index rebalancing on 31 August. By 3 September, volumes rose by 4.7%, while value rose 14.2% to ₹1,457.74 crore.

Trade volumes during CAS declined 24.3% from 3 August to 19.6 million on 28 August, NSE data showed

It was not only the cash market which was struggling; about half of the volume and value in Bank Nifty futures vanished since CAS was introduced. Volumes fell 42% to 14,180 contracts, while value declined similarly to ₹2,445.72 crore on 2 September.

Nifty futures took a hit as well, as volumes fell 30% to 38,875 contracts and trade value dropped 20.5% to ₹6,148.77 crore on 28 August. The MSCI rebalancing, however, brought some of the activity back. By 2 September, Nifty futures volumes had risen 11% to 61,893 contracts and value 8.4% to ₹9,656.58 crore.

Market experts said participation is unlikely to pick up immediately.

"Retail participation is not expected to increase as people are unwilling to take a risk in the last 15 minutes of the trading day. However, institutions are more likely to participate if they are able to mitigate the uncertainty in prices," said K. Suresh, president and CEO at India Cements Capital, a financial services firm. He added that derivatives volumes have fallen due to uncertainty about the closing price, as there are often sudden spikes, either up or down, by the time the closing price is determined.

On the day CAS debuted, the Nifty surged 1.6%, while the Sensex gained only 0.7%. The Nifty jumped nearly 200 points in the final two minutes of order closing, opening a gap between the index, its underlying stocks and their futures. On 26 August, the Nifty fell 271.4 points in 30 seconds after the auction began.

"We think Sebi could address challenges with CAS through de-linking options expiry from the CAS window; improving the stock lending and borrowing mechanism; and deepening the auction pool," said a Jefferies report on 2 September.

"It is difficult to determine what is manipulation and what is simply an opportunistic trade by a trader. It is possible that during low liquidity, trades are made because traders see an opportunity. However, to the plain eye, that might look like manipulation," a depository official said on the condition of anonymity.

On 19 August, Sebi barred two entities from accessing the securities market and ordered them to deposit a combined ₹3.68 crore over alleged manipulative trading.

A former regulatory official defended the reform. "This is a very good move for the markets in the long run. Sebi is doing the right thing," the official said on condition of anonymity. "However, I do think the regulator could have implemented the framework better. They could have tested the system a lot better. They could also have taken up education on indicative prices better, he added.

Indian companies' earnings recovery hits a margin test

Q1FY27 sales of Indian firms grew 15.5%—the strongest since Q4FY24, excluding oil and gas

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India Inc. started fiscal year 2027 on a strong footing, with revenue and profit growth accelerating sharply in the June quarter. But the recovery is already showing a fault line: operating margins are weakening even as headline earnings strengthen, raising questions about how broad and durable the upturn will be.

Companies in brokerage PL Capital's coverage universe delivered their strongest sales and profit growth in more than two years in the June quarter (Q1FY27). The universe, excluding oil and gas companies, reported 15.5% sales growth in Q1FY27, the highest since Q4FY24. Net profit growth, at 17%, was also the highest since Q4FY24.

Yet earnings before interest, taxes, depreciation and amortization (Ebitda) growth was weaker at 9.6%, below the 10.1–11% average of the previous eight quarters, while overall Ebitda margins fell 148 basis points.

The divergence matters because the next leg of the earnings recovery will have to rely increasingly on volumes rather than expanding margins. Rising input costs, a tougher second-half base and softer rural demand could test whether strong headline profit growth can remain broad-based.

In a 26 August report, PL Capital said the margin decline was primarily due to the impact of supply-chain disruptions and higher crude prices on the auto, cement, consumer and travel segments.

The brokerage sees further pressure ahead as companies begin using higher-cost raw materials in Q2/Q3. It also flagged weak monsoons and their potential impact on farm incomes and rural demand, repeated price hikes in essential goods that could hurt consumer sentiment, and higher global commodity prices.

The risk is already showing up in earnings expectations. Nifty EPS growth is expected to accelerate to 17.7% in FY27 from just 1.6% in FY26. "We believe the 17.7% Nifty EPS growth is at risk," PL Capital said.

How much cost pressure is passed on to consumers will vary by sector. Companies with pricing power and healthy discretionary demand are better placed to pass on higher costs, while highly regulated or competitive industries may have to absorb them initially and raise prices later.

Lokesh Manik, senior analyst at Vallum Capital, described the margin pressure in H1FY27 as "bifurcated": it is significant for commodity consumers such as paints, tyres and autos, but a tailwind for producers benefiting from the same price increases.

He expects corporates to absorb costs for one-to-two quarters before hiking prices. "Pricing-power categories like cement, tyres, FMCG will take price hikes probably by late Q3FY27, while price-elastic categories like autos, durables will absorb longer, and we expect margin compression to show up there first."

JM Financial Institutional Securities also expects renewed cost pressures to weigh on inflation and corporate margins in the first half of FY27. In a report dated 27 August, the brokerage said Brent crude averaged \$83 per barrel in July 2026 before climbing above \$90 per barrel in August amid renewed US-Iran tensions. Brent crude was trading at \$93.82 per barrel on Thursday, according to *Bloomberg* data.

Input costs remain elevated as well. "Aluminium (+36.1% YoY), copper (+40.1% YoY), domestic petcoke (+31.4% YoY) and international petcoke (+31.8% YoY) point to likely margin compression across multiple sectors in H1FY27E," the brokerage said.

But analysts do not see margin pressure alone derailing the earnings cycle.

Shrikant Chouhan, head of equity research at Kotak Securities, expects renewed inflationary pressure to hurt margins in some sectors in the near term. Still, decent Q1FY27 results give him confidence in a strong FY27.

Earnings recovery is shifting from margin-led expansion to one driven by volume growth. As long as domestic consumption holds up, corporate India's structural earnings recovery will remain on track, he added.

While a prolonged West Asia conflict is keeping crude prices volatile and poses a risk from peak profitability, Chouhan believes that strong domestic volume growth and the festival demand will partially absorb the shock.

A large section of the market believes if margin pressure remains confined to commodity-consuming sectors, the earnings recovery can remain intact. But a wider hit to margins could make it harder to sustain.

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Margins hold. Pressure builds.

Q1 gross margins remained largely resilient, but the full impact of commodity inflation is yet to play out.

Sector	Gross margin (In %) Q1FY26	Q4FY26	Q1FY27	Quarter-on-Quarter	Year-on-Year
Consumer Durables	28	25.7	26.7	1 ↑	-1.3 ↓
Building Materials	41	42.3	43.3	1.1 ↑	2.3 ↑
Capital Goods	39.1	36.9	38.1	1.1 ↑	-1 ↓
Cements	81	78.1	79.8	1.8 ↑	-1.2 ↓
Metals & Mining	48.4	50.6	49.9	-0.7 ↓	1.5 ↑
Consumer Staples	50.1	50.7	50.4	-0.3 ↓	0.3 ↑
Paints	44.7	46.4	44.5	-1.8 ↓	-0.1 ↓
QSR	72.3	72.8	72.7	-0.1 ↓	0.4 ↑
Retail	19.9	18.3	19.8	1.5 ↑	-0.1 ↓

QSR: Quick Service Restaurant
Source: Company, PL

mint

MANU CHOUDHARY/MINT

EARNINGS FAULT LINE

INDIAN companies' net profit growth accelerated to 17%, also the highest since Q4FY24

HOWEVER, Ebitda growth lagged at 9.6%, while overall Ebitda margins fell 148 basis points

RISING input costs could shift the next leg of the earnings recovery towards volume growth

AUTO, consumer, cement and travel segments were hit by supply-chain snags, higher crude prices

Aditya Birla extends Opus playbook to wires and cables

Dipali Banka &
Nehal Chaliawala
MUMBAI

Housed under the group's cement unit UltraTech, the business, named UltraVolt, aims to be a leader in wires and cables. REUTERS

After making a series of new business bets and large acquisitions over the past three years—from paints and renewable energy to the Indian Premier League and cement—the Aditya Birla Group is now entering the wires and cables segment with a ₹1,800-crore investment.

Housed under the group's cement unit UltraTech, the new business, named UltraVolt, aims to become one of the top two wires and cables players in India within five years, said group chair Kumar Mangalam Birla. The company will take on industry leaders such as Polycab India, KEI Industries and Havells India.

For this business, Aditya Birla is using the playbook it first deployed in the paints market with Opus. The strategy involves entering the sector with a large investment, building significant capacity even before the product hits the market, leveraging the group's distribution network and spending significant capital to onboard people that actually interact with customers—the painters and electricians.

UltraVolt will become the second-largest player in the wires segment by capacity at launch.

The move comes after a series of new bets by the group, including its entry into paints with Birla Opus, jewellery retail through Indriya and B2B e-commerce through Birla Pivot, as well as investments and acquisitions in newer areas.

"The Aditya Birla Group, as you all know, has a long history of growing and scaling category leading businesses. But in recent years, successful new business creation has in itself become a core part of the group's DNA," Birla said at the launch, adding that the group makes strategic bets and backs them with the intent of winning the category.

UltraVolt, the new business, will become the second-largest player in the wires segment by capacity at launch

Ultravolt will leverage the group's existing strengths in metals and building materials, as well as its extensive dealer and distributor network of its cement arm. It will initially manufacture wires, cables and conduits, with plans to expand into specialty cables and electrical accessories. Hindalco, the metals arm of the group, is a leading aluminium and copper producer in India.

Birla cited the example of the group's paints business, which has reached double-digit market share within just two years of operations and has disrupted the industry. In jewellery retail, Indriya has opened 90 stores across 54 cities in two years. Meanwhile, B2B e-commerce platform Birla Pivot has reached an annualized revenue run rate of ₹10,000 crore within three years of launch.

The group is betting on three key trends in the Indian economy: rapid urbanization, the expansion of India's power grid and renewable energy, and the growth of data centres. Urbanization is expected to add 100 million homes over the next decade, creating significant demand for building and electrical products.

The existing strengths in metals and construction will give it an edge in the wires and cables business, said Dilip Gaur, director at Ultravolt, said at the launch event.

Gaur added that the group's access to two key raw materials, copper and aluminium, which account for about 80% of a housing wire's cost and determine its performance, will help it bring greater innovation to the segment.

The group also plans to leverage UltraTech Cement's construction ecosystem, with construction accounting for nearly 80% of wire consumption. Through UltraTech's database of housing and infrastructure projects, the group expects to identify potential customers and projects four to six months ahead of competitors, Gaur said.

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Maruti looks to take the fast lane in EV sales in 4 months

India's largest carmaker expects its capacity constraints to ease during the period

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Maruti Suzuki's electric vehicle (EV) push in India is set to take a little longer to gather pace. The country's largest carmaker expects its capacity constraints to ease over the next three to four months, pushing the domestic ramp-up of EVs into 2027, even as the country sees their sales picking up and rivals Tata Motors PV and Mahindra & Mahindra building on their early lead.

The company has delayed scaling up of domestic EV capacity earlier as well. On 1 June it had said the ramp-up was likely post September with the EV production line at Hansalpur, Gujarat, coming up. Prior to this, the initial expectation was July.

Speaking to reporters on the sidelines of Society of Indian Automobile Manufacturers' (Siam) annual convention, Partho Banerjee, senior executive officer of sales and marketing head at Maruti Suzuki, said the company will take three to four months to ramp up output to ease capacity constraints for EVs, which are currently limited to 2,000 a month for the domestic market.

Maruti now has a solo EV model, the eVitara. The model's exports started in August last year, while domestic sales took off in February.

It is working on more EV models, including a small vehicle to tap growth in the segment. The eVitara is also rebadged as Toyota eBella in the Indian market, with Maruti having committed its production lines for Toyota's production.


The company has delayed scaling up of domestic EV capacity earlier as well. PTI

The carmaker had inaugurated a dedicated line for EVs at its Hansalpur plant in Gujarat in July with an annual capacity of 250,000 after having launched a 250,000 line in May at Kharkhoda in Haryana.

The company is exporting these electric vehicles across the world, with a large share going to Europe.

The capacity scale-up is taking time as the new production lines are stabilizing.

"It takes time to stabilize," Banerjee said to a query on capacity constraints for EVs. While there are expectations that the production lines will immediately scale, it takes time to ramp up the new facilities," he said.

The company has an overall installed capacity of 2.9 million units, with 0.5 million added in the current fiscal amid robust growth in domestic car sales.

Towards this growth push, the company has committed ₹77,500 crore capital expenditure by financial year 2031.

India's EV sales grew 84% in the financial year 2026 to nearly 200,000 units, with a 4.2% penetration (the share of EVs in total passenger vehicle sales), according to the Federation of Automobile Dealers Associations (Fada).

The momentum has continued in the current fiscal, with July data from the federation showing that monthly EV sales surged 83% to nearly 33,000 with a 7.9% penetration.

Maruti has been a late entrant in the EV market, with its rivals Tata Motors PV and Mahindra taking the lead in the segment so far.

ELECTRIC SHIFT

MARUTI's Banerjee said the company will take three to four months to ramp up output

MARUTI now has a solo EV model, the eVitara. The model's exports started in August last year

IT is working on more EV models, including a small vehicle to tap growth in the segment

MARUTI has been a late entrant in the EV market, with its rivals Tata Motors PV, M&M taking the lead


William Ruto, president of Kenya. REUTERS

Kenya's prez orders Tata Chemicals to end ops

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Kenya's President William Ruto said on Thursday he had ordered India's Tata Chemicals to stop its operations in Kenya, saying its presence had failed to benefit the country. Ruto said the government would bring in two new companies to take over operations for Tata Chemicals.

In July, Tata had said Kenya's government had ordered its unit Tata Chemical Ltd to suspend its operations at the Magadi Soda factory and suspended any exports of soda ash.

"That TATA company ... had that contract for 100 years. They have not built anything in Kajiado, they have not built any factory in Kajiado," Ruto said during a visit to the region in southern Kenya. "We have said we will bring a new company and... they should put a big glass company here in Kajiado. And another company to make chemicals here in Kajiado. Are we slaves to other people?"

The company could not immediately be reached for comment on Ruto's decision and his criticism.

Not just HDFC Bank, most private banks face a succession challenge

FROM PAGE 1

the longest tenure at 26 years.

Long tenures are no longer the norm even though private-bank CEOs still serve over twice as long as their public sector peers on average. The analysis showed that 59 CEOs and managing directors (chairpersons, in some cases) who left office from 2017 to 2026 served an average of six years and five months at private banks, against two years and 10 months at public sector banks.

This pegs the overall average CEO tenure for India's banking sector at about 4.5 years, below the average five-to-eight-year tenure for global financial services CEOs, said Sonal Agrawal, managing partner at Accord India.

The churn bares a deeper talent shortage in private banking, leaving boards to repeatedly turn to familiar names, said Amit Agarwal, managing director at Stanton Chase Singapore and India. While private banks have specialists in retail banking, sales, finance, credit or risk management, they lack executives with experience across multiple facets of banking who can take the helm, he said.


Private-bank CEOs serve over twice as long as their public sector peers on an average. MINT

"Job rotation is critically important in succession planning for cross-functional leadership experience. In the last 20 years, banks have pretty much stopped this exercise," Agarwal said. "Not every vice-captain can become a captain."

Despite being aware of the challenges, private bank boards plan succession assuming CEOs last long, said K. Sudarshan, regional chair of Asia and managing director of EMA Partners India.

Ironically, while longer tenures give banks more time to groom successors, the next generation often gets limited exposure to the top job as they report to strong, long-serving CEOs, Sudarshan said. Extended CEO tenures can leave private banks with succession plans on paper but no genuine successors when needed, he added.

Boards also often struggle to find successors to "larger-than-life" leaders who remain at the helm for decades, noted Agarwal of Stanton Chase.

Over the past decade, 52% of private-bank chief executive officers served for five years or less

This creates a key-person risk, according to Sudarshan, where strong leaders accumulate institutional knowledge, influence and decision-making authority over years, making them harder to replace.

"We have seen that the ideal CEO tenure should not exceed 10 years. Anything beyond that can deeply impact succession planning initiatives," Sudarshan said.

According to the Reserve Bank of India's rules, private-bank CEOs can serve for up to 15 years, subject to a 70-year age cap, while promoter or owner CEOs face a 12-year limit. At public-sector banks, the government has capped the maximum tenure at 10 years, split into two five-year terms, with retirement at 60.

However, public sector bankers typically reach the managing director role in their mid-to-late 50s, often after an executive director stint, leaving a shorter runway at the top, said Agrawal of Accord India. The Centre and the Financial Services Institutions Bureau, which shortlists candidates for leadership roles in public sector banks, also control appointments, leaving individual bank boards with limited say over choosing or retaining CEOs, while successors are drawn from the broader public sector pool, she added.

The public sector ecosystem is, therefore, designed for continuity, contributing to shorter CEO tenures and creating a fundamentally different leadership and succession architecture from private banks. These differences may also explain investor concerns over public sector bank chiefs potentially leading HDFC Bank, with Jefferies noting in a recent report that such appointments could complicate the transition.

Although private banks have picked public-sector veterans in the past, such moves were largely aimed at stabilizing distressed institutions.

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Credlix crosses $1 billion in export financing for MSMEs

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Credlix, the cross-border trade financing arm of business-to-business commerce platform Moglix, has crossed $1 billion in export financing for micro, small and medium enterprises (MSMEs) and plans to grow this tenfold to $10 billion over five years, while expanding its base to over 10,000 such enterprises.

The milestone comes as India seeks to make smaller businesses a larger part of its export economy. MSMEs account for a significant share of the country's exports, at around 45%, but smaller exporters can struggle to access working capital. Credlix is betting that a lender with an understanding of the export trade can help bridge that gap.

Credlix has supported more than 1,000 MSME exporters across the country, Mexico, the US, West Asia, and Singapore so far. It main;y works with exporters in India and Mexico though its financing has supported exports to over 70 countries, it claims.

The firm has committed over $100 million in FY27 for financing Mexican firms, particularly those supplying buyers in Mexico from India.

Credlix provides a range of financing solutions, including purchase-order financing, invoice or sales-bill discounting, export and import factoring, vendor and channel finance and business loans. Its typical financing starts at around $50,000, with export financing generally linked to a 60-90 day shipment-to-payment cycle. It primarily finances sales and receivables rather than inventory.

One of the challenges small exporters face when raising financing is that conventional options often require collateral, such as property, company assets, or promoter guarantees. Rahul Garg, founder and chief executive of Credlix and Moglix, argues that a lender with a deeper understanding of the underlying trade can assess the business differently.


Rahul Garg, founder and chief executive officer of Credlix and Moglix.

"We understand the supplier, we understand the buyer, we understand the product, we understand the trade route, and we understand the risk. That is where we think we have an advantage," said Garg.

Moglix has over 45,000 suppliers across industrial categories, giving visibility into the businesses and transactions it is financing. Credlix, however, doesn't restrict itself to the Moglix customer base.

India's export-finance opportunity is large, but specialized cross-border financing is relatively underdeveloped. Merchandise exports were $441.8 billion in FY26, while MSMEs made for roughly 45% of exports.

Cross-border factoring, a form of trade finance in which a financier advances funds against an unpaid overseas invoice, was at about $1.1 billion in India in 2023, per International Financial Services Centres Authority data.

The milestone comes as India seeks to make smaller businesses a larger part of its export economy

The market includes specialist players such as Drip Capital, which provides working-capital finance to small and medium exporters, while KredX also offers trade and receivables financing. Banks are key providers of export credit, while domestic receivables platforms such as Trade Receivables Electronic Discounting System (TReDS) serve a different segment of the market.

Credlix is doubling down on export factoring and aims to finance over $500 million in export in FY27 from India alone. "India's export factoring market is still at an early stage compared with more developed markets," said Garg, who founded Moglix in 2015. "With factoring penetration in India at below 1% of exports, there is an opportunity to build greater awareness and specialist capabilities to help MSMEs secure export finance and scale their global businesses."

The government is also trying to address the funding gap.

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MOVES

A weekly list of C-Suiters who have moved up the corporate ladder either within or outside their companies.

Abhishek Agrawal	Appointed as **chief growth officer** at **OZiva (Unilever)**
Debashis Sen Gupta	Appointed as **director/head—project management and sales, India,** at **GKW Consult GmbH**
Dr Padam Narayan	Appointed as **senior vice president—projects** at **DEK & Mavericks Green Energy**
Gaurav Gupta	Appointed as **head of digital business** at **MMTC-PAMP**
George Kovoor	Appointed as **chief executive officer** at **Parle Biscuits**
Jatinder Singh Malhotra	Appointed as **chief information officer** at **India Mortgage Guarantee Corp.**
Jayaram Karthik	Appointed as **chief operations officer** at **Pine Labs**
Kanika Pal	Appointed as **senior vice president and head—CSR** at **DBS Bank**
Kapil Sharma	Appointed as **chief revenue officer—India and Indian subcontinent** at **Zydus Wellness**
Kiran Balasubramanian	Appointed as **head of communications** at **Lenovo India**
Meghna Sharma	Appointed as **editor—Prestige India** at **APX Luxury (Prestige India)**
Mufaddal Matcheswala	Appointed as **chief business officer—capital markets** at **SBICAP Securities**
Nidhi Vohra	Appointed as **chief business officer** at **Sirona Hygiene**
Pawan Kumar Marella	Appointed as **chief experience and brand officer** at **Max Healthcare**
Prajesh Kalathil	Appointed as **head—India prime business** at **Tata Communications**
Priyanka Shah	Appointed as **group head—digital** at **NDTV Network**
Rehan A. Khan	Appointed as **chief executive officer** at **Integrace Health**
Sanjay Rao	Appointed as **managing director and chief executive officer** at **Bata India**
Shalabh Shrivastava	Appointed as **head of operations** at **MediBuddy**
Sudhir Iyer	Appointed as **group chief financial officer** at **Stanley Lifestyles**
Sunali N. Ahluwalia	Appointed as **chief financial officer—Indian subcontinent** at **EssilorLuxottica**
Tanya Julka	Appointed as **vice president—marketing** at **Integrace Health**
Vnsh Sachdev	Appointed as **vice president—advanced and precision diagnostics** at **Roche**

Source: Accord India, executive search worldwide

Old Monk can't be sold as rum, FSSAI tells Bombay HC

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The Food Safety and Standards Authority of India (FSSAI) told the Bombay High Court on Thursday that Old Monk can't be sold as rum as it is made using neutral spirit and rum flavouring.

The regulator's counsel said its key objection was not about labelling but about the nature of the product itself. "What is not permitted is to sell this product as rum," the counsel said, adding that it could, instead, be described as a "rum-flavoured spirit".

Old Monk submitted revised labels to the court, and FSSAI requested additional time to review them. The matter will be heard next on 11 September.

During a hearing on Monday, the company had informed the court it was prepared to modify its labels to remove the phrase '7 years old blended'. A division bench comprising acting Chief Justice Ravindra V. Ghuge and Justice Gautam A. Ankhad had directed it to present a revised label by Thursday. The court also instructed the regulator to outline the details needed on the packaging. It also asked the state excise department to review the modified label and expedite the approval process on an urgent basis.

The bench observed that consumers could be misled into believing the rum was aged for seven years. The court questioned the firm over certain text on the label, noting it was "so small that nobody can read [it]."

Old Monk submitted revised labels to the court, and FSSAI requested additional time to review

Senior counsel Navroz H. Seervai, representing the firm, said it suffered a ₹1 crore loss per day for the 120 days that FSSAI's ban has been in force.

United Spirits, which faced a similar ban, withdrew its case on 24 August. Its parent company, Diageo, along with other liquor firms, agreed to comply by either removing disputed flavoring agents or modifying product labels, *Mint* reported on 18 August. People in the know said the label changes will be made without altering the formulation.

For an extended version of this story, go to livemint.com.

Regional aviation needs policy push: ATR chief

Franco-Italian firm says India needs financially viable regional airlines

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India may have a large untapped market for regional air travel, but turning that demand into a viable airline business will require more than government subsidies. Franco-Italian firm ATR, world's largest maker of small commercial aircraft, says India needs financially viable regional airlines, backed by more airports, lower airport costs and taxes, and incentives beyond the government's flagship Udan (*Ude Desh ka Aam Nagrik*) scheme, if it is to turn the vast market for travel between smaller cities into a sustainable aviation business.

ATR chief executive officer Nathalie Tarnaud Laude said the regional air connectivity scheme played an important role in developing the sector.

"I don't know if India needs more regional airlines. What I know is India needs profitable regional airlines for sure," ATR chief executive officer Nathalie Tarnaud Laude told *Mint* in an interview. "Because it can only be a success if you are profitable in this business."

ATR is a joint venture between Airbus and Leonardo, and specializes in turboprop aircraft for regional routes. Turboprops are smaller planes, with a 70-odd seating capacity, capable of accessing smaller airports with limited runway space.

Laude said the regional air connectivity scheme played a key role in developing the sector in the world's fastest-growing commercial aviation market. "Udan has been very helpful to increase connectivity in India," she said, adding that the scheme had allowed ATR and its customers to enter the Indian market. But the chief said Udan alone will not be enough to achieve the scale of connectivity the plane-maker envisages: 200-300 turboprops in 20-odd years.

"In the future, will this (Udan) be enough to increase that connectivity to the numbers that I was mentioning? Maybe not," she said. "And maybe we will need other incentives while maintaining, of course, the scheme."

"It could be more airports - building more airports, support to manufacturing, giving the right conditions to manufacture aircraft at the right cost-effective price," Laude said. "It can be some incentives... tax incentives. (Lower) airport taxes, for example."

Udan was launched in October 2016, with 663 routes getting operationalized. However, nearly half, or 327 are non-operational. Routes are discontinued for reasons such as poor visibility, runway restrictions, aircraft shortage, low passenger count and financial failure of airline companies.

The Udan 2.0 scheme, launched earlier this year, has increased focus on airport infrastructure and commercial viability of routes. It now has an outlay of ₹28,000 crore, almost six times the previous scheme's disbursals of ₹4,600 crore.

ATR's India thesis is based on the size of the country's existing ground-transport market. The company estimates that about 4.6 billion trips take place annually between tier-2 and -3 cities, but only 3% are made by air.

For an extended version of this story, go to livemint.com

INDIA OPPORTUNITY

ATR India thesis is based on the size of the country's existing ground-transport market

ATR, a joint venture between Airbus and Leonardo, builds turboprop aircraft for regional routes

UDAN 2.0 scheme has increased focus on airport infra and commercial viability of routes

Carrefour targets 50 stores in 3-4 years

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After over a decade, the French supermarket retail chain Carrefour has returned to India with a strategy markedly different from the one it pursued when it first came here. It is now betting that physical stores still have a role to play even as quick commerce reshapes grocery shopping and traditional retailers retain their dominance.

Patrick Lasfargues, director of international partnerships of Carrefour and Apparel Group.

The retailer, which exited India in 2014 after operating five cash-and-carry stores, opened its first store in Noida on Thursday under a new franchise partnership with Dubai-based Apparel Group. It plans to open about 50 stores across the National Capital Region and Uttar Pradesh over the next three to four years, before expanding to other parts of the country.

It has four formats globally that it could potentially deploy in India: hypermarkets, supermarkets, gourmet stores and express stores.

The company said the initial sales have been stronger than expected. The first store, spread across 50,000 square feet and carrying about 50,000 stock-keeping units (SKUs), soft-opened on 14 August. "We've been opening about 500 stores every year in the markets we are present in. These are good figures for the store's early days," Patrick Lasfargues, director of international partnerships and Nilesh Ved of Carrefour and Apparel Group, said in an interview with *Mint*.

Ved did not disclose how much Apparel Group will be investing in the country.

The first store launched nearly two years after the two announced their franchise partnership in September 2024.

The companies had originally expected to open the first store in summer 2025, but the launch was pushed back by roughly a year as the partners built a local team and searched for a location that met Carrefour's requirements.

"We needed the franchisee to set up the team locally to find the right location. It's not easy to find the location. And also to be in a mall, which is complete and operational," Lasfargues said.

The companies said they preferred to wait rather than rush the first opening. "We'd rather start with the right ingredients instead of going fast because we announced to the market one year to open," Ved added.

In its first India attempt, Carrefour invested its own equity and operated five stores. At the time, foreign retailers faced significant restrictions on entering the country's consumer-facing multi-brand retail sector, making a local partnership necessary for a broader consumer strategy.

For an extended version of this story, go to livemint.com

Arcil aims to acquire early-stress loans

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Asset Reconstruction Company (India) Ltd (Arcil) is looking to move beyond buying stressed loans and tap the early-stress segment by launching a collections-as-a-service business, targeting loans that have started showing signs of delinquency but have not yet become non-performing assets (NPAs).

"There is a huge early bucket which is SMA -1 (special mention accounts-1), SMA -2...There is a huge collection of services that need to be given for that, so those are the services we want to provide to them," Phanindranath Kakarla, Arcil's chief executive officer and managing director, told *Mint*.

> **Arcil has identified collections-as-a-service as a new business vertical in its red herring prospectus**

SMAs are loan accounts showing early signs of stress, classified as SMA-0 (up to 30 days overdue), SMA-1 (31–60 days overdue) and SMA-2 (61–90 days overdue) before becoming NPAs.

The company will provide collection services to "banks and other financial institutions that may not necessarily want to sell us their stressed assets but still have NPA accounts or even early-stage stressed accounts that require collections support," Kakarla said.

"We already manage nearly 3.5 million NPA customers, which gives us a strong collection infrastructure, an experienced team and wide geographic coverage," he said.

Arcil has already signed up a few clients and expects to begin working with a few institutions shortly, Kakarla said.

It has also identified collections-as-a-service as a new business vertical in its red herring prospectus, filed on 1 September, for its initial public offering (IPO).

The move comes as the asset reconstruction companies are increasingly acquiring larger volumes of smaller-ticket retail loans from NBFCs as corporate stressed assets become scarce and retail stress rises.

For an extended version of this story, go to livemint.com

Nvidia buys AI platform Hugging Face for $13 billion

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Nvidia's chief executive officer Jensen Huang. AFP

Nvidia Corp. has agreed to acquire artificial intelligence (AI) startup Hugging Face in a transaction valued at about $13 billion.

The price includes an up to $1 billion equity-based retention program for Hugging Face employees that join Nvidia.

The chipmaker giant said it will keep Hugging Face's platform open and consistent with the startup's existing practices.

"Under this commitment, Hugging Face would continue to permit model makers, developers, and users to upload and download models and datasets of their choosing and to support other silicon vendors," according to a statement.

Buying Hugging Face is the biggest move yet in Nvidia chief executive officer (CEO) Jensen Huang's push to broaden the uptake of AI and extend his customer list. The deal gives Nvidia control of one of the key platforms where developers showcase and share AI models.

Huang is committed to helping foster so-called open source models to prevent the technology of a few large companies from dominating AI. Some of those companies are currently Nvidia's biggest customers but are forging ahead with their own chip projects.

"Open models strengthen safety and cybersecurity, accelerate innovation and diffusion, and enable sovereignty," Huang said in a post on X. "Nvidia is going to be a great home for Hugging Face, its community and the future of open models."

Nvidia was already a backer of Hugging Face, alongside Alphabet Inc.'s Google, Amazon.com Inc., Intel Corp. and Salesforce Inc., among others.

Founded in 2016, Hugging Face operates a platform for sharing AI models that can be used freely by others. It was valued at $4.5 billion in a funding round three years ago. Nvidia's talks with it were reported earlier by *Business Insider*.

Hugging Face was at the center of a cybersecurity incident in which a model being tested by OpenAI inadvertently hacked the platform. The breach raised alarms about the safety of cutting-edge AI technology. OpenAI has said it could have reacted sooner to prevent the attack on Hugging Face's systems.

The Hugging Face acquisition adds to a list of deals by Nvidia in the past year, including a $6 billion licensing agreement in August with startup Poolside that included extending job offers to many of that company's employees. Nvidia also paid about $20 billion for most of the chip startup Groq.

US pressure on Iran starting to tell with sanctions biting

Though Iran managed to bypass sanctions for decades, the latest US moves left them in a sensitive position

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A US campaign to throttle Iran's economy by blockading its oil exports and stopping sanctions evasion is growing increasingly difficult to withstand, three senior Iranian officials said.

Washington has in recent weeks sought to ratchet up the economic pressure on Tehran, in an effort to extract concessions in any future negotiation that six months of conflict have so far failed to secure.

Though Iran managed to bypass sanctions for decades, the latest US moves have left them in a far more sensitive position, with few remaining channels to secure foreign currency or buy goods, the officials said. In particular, the effort to stop Iran accessing international financing networks in other countries it has long used to keep its economy functioning poses a real threat, the officials said.

Washington launched airstrikes on Tuesday in retaliation for Iranian attacks on shipping in the Strait of Hormuz. Iran reported 18 dead in the last US assault. It responded on Wednesday with attacks on US bases in Iraq, Jordan, Qatar, Kuwait and Bahrain, and carried out further attacks early on Thursday, saying it targeted another US base, in Kuwait.

Neither side has signalled yet it is ready to make the concessions demanded by the other, leaving the war in a costly stalemate—though one that may be shifting.

Iran fired at Kuwait on Thursday as part of its retaliation for US bombardments earlier in the week. AFP

While more energy is flowing to international markets through the Strait of Hormuz despite Iranian efforts to continue disrupting the seaway, the US blockade of Iranian oil exports has entirely cut off Tehran's main source of revenue.

Adding to Iran's problems, the economy was already deep in crisis before the conflict, with a cratering currency and spiralling inflation, while months of bombing have run up a massive bill to rebuild damaged industry and infrastructure.

The rial has fallen to record lows over recent days and a senior official said Iran only has another two months' supply of gasoline, which has to be imported despite domestic production due to limited refining capacity.

Iran's rulers are keenly aware of the potential risks of an economic meltdown and the possibility of it reigniting the nationwide mass protests it put down in January by killing thousands of demonstrators.

The war is also entering a new phase, with each side trying to influence each other's politics. Iran hopes the threat of inflation will deter the US administration before midterm elections in November, while Washington aims to push Iranians to revolt, a senior Iranian official said.

The latest US measures expanded secondary sanctions that target countries doing business with Iran to stop it clearing dollar transactions needed for both oil sales and to finance crucial imports of goods and raw materials.

That effort is making Iran's existing sanctions evasion networks—front companies, unregistered tankers and smuggling—too expensive to use, the three senior sources said.

Iranian crude loadings have fallen this month to about 260,000 barrels a day, from about 1.7 million a year earlier, according to data from commodity analytics firm Kpler, with only a trickle still moving off terminals for distribution by truck, train or smaller boats over the Caspian Sea.

Total trade has fallen between 25% and 35%, with imports hit harder than exports, President Masoud Pezeshkian has said, one of several top officials warning in recent weeks about Iran's rapidly deteriorating situation.

US pressure and Iran's own attacks have disrupted one of the main conduits for Iranian trade—the United Arab Emirates, which said on 19 August that all commercial exchange and financial dealings with Tehran were halted until further notice.

"If those channels stay closed, a supplier wants cash, a deal is routed through another country and a shipment arrives later and dearer," said an Iranian trader in Tehran who deals in imported goods.

The currency has collapsed in value from around 1 million rials to the dollar a year ago to over 2.2 million rials now.

The internal impact is very painful. Official figures put 12-month average inflation at 69.9% with food, beverages and tobacco prices rising at nearly twice that rate.

Unemployment rose to 9.1% in the spring, while the number of those in work fell by about 450,000 from a year earlier amid a wider fall in labour participation. Even for those still in work, the average monthly salary of $125 a month comes nowhere near meeting basic household spending needs that come to around $450 a month according to official data.

Volkswagen fights Chinese competition—and its own board—in battle to survive

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When Volkswagen Chief Executive Oliver Blume took a cost-cutting plan to his board this summer that envisioned a doubling of job losses to 100,000, he was fully aware it would be rejected.

Such is the predicament of running Germany's premier industrial company, where half the supervisory-board directors are worker representatives and swing votes are held by the local government.

Now Blume is considering an audacious workaround, according to people familiar with his plans. If the board factions can't come to an agreement at a meeting set to take place on Friday, he could go hostile—bypassing the board like an activist investor or corporate raider by taking the plan directly to shareholders.

It's a nuclear option, a move without precedent at Volkswagen or the broader German corporate scene, where for years stakeholder capitalism has meant that decisions are driven by consensus among workers, regulators and shareholders.

The stakes are enormous. Chinese automakers are moving headlong onto German carmakers' home turf after dethroning them in China, previously their strongest overseas market. Higher U.S. tariffs under President Trump and a bumpy transition to electric vehicles and hybrids have cost automakers billions of dollars.

"Tariffs, new competitors and geopolitical risks: The entire automotive industry is under enormous pressure," Blume told employees last week.

Germany for decades has staved off the kind of deindustrialization that has wiped out millions of U.S. manufacturing jobs, maintaining a generation of well paid, skilled workers, particularly in the auto industry. Now "Detroit-ization" is a buzzword in the German media.

No German automaker is more affected by the industry turmoil than Volkswagen, which competes head-on with mass-market Chinese brands such as BYD and doesn't have a big U.S. manufacturing base to limit the fallout from Trump's tariffs.

Blume wants to slim down VW and reshape its global footprint, upending a decades-old business model where cars are designed and in some cases made in high-cost Germany for markets overseas. In essence, he wants to make Germany's largest corporation smaller and less German.

"Over the years we have built up structures, capacities and head count," Blume said in a Q&A published on the company intranet last month. "Too many interfaces, too many layers, too many duplicate structures."

Volkswagen is bloated, employing many more workers per car produced than competitors. The company makes around 150 vehicle models, including those of Audi, Porsche and other brands bought over the decades. Much of the office staff working in design, marketing and forecasting are in Germany, where employee protections make it hard to cut workers.

Blume and his team want to halve the number of models—still leaving Volkswagen with many more than peers, they say—and make sure those that survive better match the tastes of consumers in different markets. They also want to cut overhead and a portfolio of some 2,000 investments that include stakes in four German soccer clubs.

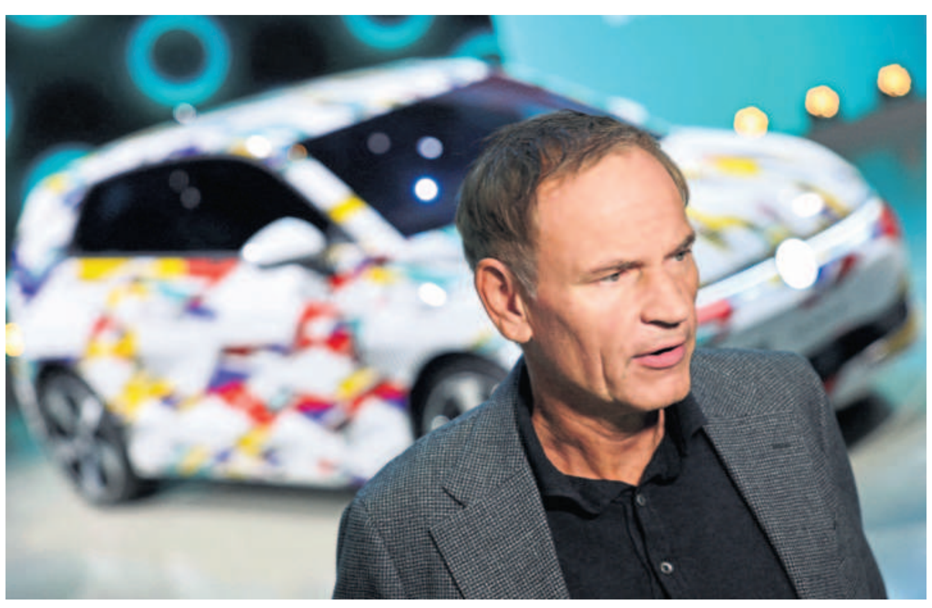
But the company's complex governance, with the billionaire Porsche-Piëch family vying for control with politicians and Europe's most powerful union, puts a speed limit on change in an industry that is moving fast.

CEO tour

Friday's supervisory-board meeting comes 10 weeks after the company first said it was working on a new restructuring plan. To sell his plan, Blume fanned out last week to Volkswagen locations on a tour more akin to a political campaign than a corporate roadshow.

In Wolfsburg, the company headquarters, about 10,000 employees packed into a hall to hear the CEO defend his plan in front of Daniela Cavallo, Volkswagen's top union representative.

Trade unionists held placards with slogans such as "Our jobs aren't your balance-sheet adjustment," according to people present. Blume's introductory pleasantries about how much he valued communicating with the staff were greeted with boos.



Volkswagen Chief Executive Oliver Blume. REUTERS

Cavallo, who leads Volkswagen's works council—its top union body—acknowledged the company was in a tough spot but said Blume needed a detailed strategy for getting out of it before deciding on job cuts.

"Volkswagen is simply not a corporation that operates solely according to capitalist rules," she said. "Because of its history, Volkswagen also belongs to us, the employees."

Another source of power at Volkswagen is campaigning as well. The state of Lower Saxony owns 20% of the carmaker's voting shares. Last week, state Premier Olaf Lies, one of the Volkswagen board members who voted against Blume's plan, embarked on a tour of factories that the CEO has said might not be needed.

"Lower Saxony is automotive country, and this must remain so," Lies said at the Hannover plant, where Volkswagen has for decades built its much-loved campervans.

After Wolfsburg, Blume addressed employees in Emden and Zwickau, towns heavily reliant on their Volkswagen factories. He warned that the plants weren't competitive enough, even after a roughly 20% reduction in costs last year.

"Other plants are still significantly cheaper," he said, while stressing that closing a plant was "always the last and most expensive solution."

When Blume became CEO four years ago, he was welcomed as a peacemaker, a consensus-minded company lifer who would restore relations between bosses and workers.

His combative predecessor Herbert Diess, a former BMW executive, had unsettled the workforce by drawing unfavorable comparisons of Volkswagen's technology and manufacturing with those of Tesla, which at the time was expanding rapidly. Blume had been the CEO of Volkswagen's sports-car business Porsche, where years of profitable growth had kept everyone happy.

VW had grown rapidly over the previous two decades, above all in China, to become the world's second-largest automaker behind Toyota.

Its core operations, however, stayed in Germany. More than two in five employees worked there—a higher percentage than Japan-based workers at Toyota, which has a more decentralized model of control in its markets around the world.

As part of his drive to transfer power to the regions, Blume pressed ahead with a project to revive sport-utility-vehicle brand Scout Motors as an all-American EV, including with a $2 billion new factory in Blythewood, S.C.

He also cut the size of a Berlin-based subsidiary called Cariad, his predecessor's project to create a German software giant that would power the computer brains at the heart of modern automobiles. He set up a California-based joint venture with U.S. electric-vehicle maker Rivian to take on tasks Cariad had struggled with.

There was a plan, too, to give the wider U.S. business more autonomy. Even after growth spurts at Audi and Porsche, the company's market share in North America for years hadn't moved above 5%.

One problem was that those luxury brands don't make cars in the U.S. The company builds some Volkswagen-branded vehicles at a small factory in Tennessee, but has been criticized for selling tweaked versions of European products designed in Germany—seemingly never with enough cupholders for American families. Another negative was lingering suspicion over the 2015 diesel scandal, when Volkswagen admitted to cheating on U.S. emissions tests.

In China, Blume pushed a local-for-local strategy by investing billions of dollars in Chinese partners and a Chinese vehicle-development hub.

Alarm at home

Volkswagen's works council started to sound the alarm when Blume and his team moved from investing abroad to restructuring core operations at home.

Two years ago, the bosses canceled a sacrosanct German jobs guarantee and argued that Volkswagen needed to take the unprecedented step of closing a German factory. It took almost four months for Blume's team to negotiate a package of job cuts.

Initially outraged, union leaders eventually agreed to capacity and workforce cuts in exchange for a fresh jobs guarantee for the survivors. All the job losses relied on voluntary buyouts and early retirements running over five years.

Similar deals at Audi and Porsche brought German job losses negotiated by Blume's team to 50,000, out of a global workforce of around 680,000 at the end of 2024. Still, that left it with many more employees than its rivals.

> Blume wants to halve the number of models and make sure those that survive match the tastes of consumers

Last year, the company's fortunes took another hit when the White House introduced auto tariffs, which Volkswagen has said would cost it almost $6 billion a year. That revived old talk of a U.S. factory for Audi, which hadn't followed its rivals BMW and Mercedes-Benz in setting up a production base for SUVs in the American South.

The idea never gained traction. In January, Blume poured cold water on hopes of an American Audi factory, cut a longstanding target for growth in the U.S. market and told local media that what was needed instead was a "reduction in costs."

As Blume's cost-cutting plan took shape, one number was bound to rile up the union and local government: Another 50,000 job losses might be necessary to bring Volkswagen's overhead costs into line with competitors, his team calculated.

Company town

The focus on overhead put the emphasis squarely on the company's sprawling headquarters in Wolfsburg.

The original 1930s factory building in town bears marks of shrapnel from World War II, retained as a reminder of Volkswagen's Nazi origins. Much of the money to build the plant came from funds confiscated from unions after they were banned by Hitler—the justification given by successive works council leaders for the argument that the company belongs as much to its workers as its shareholders and should be run accordingly.

These days, four in five of Volkswagen's roughly 60,000 employees in Wolfsburg work behind desks rather than on the production lines that once turned out the Beetle and now make European bestsellers such as the VW Golf and Tiguan. It is those white-collar jobs that Blume now has in his sights.

"The next step will focus in particular on costs outside of direct vehicle production. That means management, group-level positions, central functions, development and sales," he told employees at last week's town hall in Wolfsburg, adding that around half the cost reduction would need to come from Germany.

Wolfsburg barely existed before the Volkswagen factory, and grew up to serve it. The company owns the city soccer team, helped found its art museum and pays a large share of the taxes that pay for local services. It employs many of Wolfsburg's roughly 130,000 residents on terms negotiated by the works council, including service functions such as kitchen staff that have long been outsourced at other companies.

When Blume presented the new plan at the July supervisory-board meeting, the votes fell along predictable lines: Ten members linked to Volkswagen's unions were against, as were two representatives of Lower Saxony. The seven votes cast in favor were by representatives of the Porsche-Piëch family and Qatari sovereign-wealth fund, according to someone familiar with the outcome.

The Porsches and their cousins the Piëchs—the descendants of Ferdinand Porsche, who designed the Beetle for Hitler and founded the Porsche sports-car business—own just over half of Volkswagen's voting shares through their publicly traded holding company, Porsche SE.

While the stake gives them nominal control, the majority of supervisory-board seats held by union and government representatives requires them to regularly bargain with the other stakeholders.

Last month, the holding company's CEO, Hans Dieter Pötsch, who also is chairman of Volkswagen's supervisory board, expressed frustration. "The focus must now be solely on what is necessary from a business and economic perspective. All other considerations must be secondary," he said when the company released second-quarter financial results.

Getting others to agree on that isn't easy at a company that workers regard as a cooperative.

"We, too, have a right to the returns we make—like a dividend for the workforce," Cavallo said during last week's town hall with Blume in Wolfsburg. "That means domestic factories, good jobs and training here at home, job security and strong industrial regions."

The government of Lower Saxony has sometimes positioned itself as a consensus-builder that can help other Volkswagen shareholders and workers see eye-to-eye.

If no compromise is reached, the two sides could return to negotiations, or Blume and his team could call an extraordinary general meeting of shareholders to vote on the most contentious parts of his agenda.

Under German corporate law, such proposals would normally need the support of 75% of shareholders. But Volkswagen is subject to a special "Volkswagen law" that raises the threshold to 80% for the most important decisions, potentially giving the state of Lower Saxony a blocking minority. Those legal complexities have never been put to the test.

THE WALL STREET JOURNAL.

NEWS IN NUMBERS

2
THE NUMBER of African countries, Nigeria and Uganda, where Uber abruptly shut down its ride-hailing services following a global operations review.

11
THE NUMBER of premises in Kolkata searched by the Enforcement Directorate in a probe linked to an alleged ₹290 crore bank loan fraud by Kohinoor Power.

160,000
THE NUMBER of temporary positions Amazon India is offering to meet the anticipated surge in consumer demand during the upcoming festive season.

8%
THE PERCENTAGE of gold held by Indian households currently monetized, despite a nearly fourfold surge in the gold loan segment over five years, per Motilal Oswal.

220
THE APPROXIMATE number of jobs PayPal has cut in India as part of the payments firm's multi-year turnaround plan laid out earlier this year.

HOWINDIALIVES.COM

Air India closes in on ₹10,000 crore aid


Tata Sons owns 74.9% of Air India and Singapore Airlines the remainder.

Air India Ltd is close to securing ₹10,000 crore ($1.1 billion) in financial aid from its owners Tata Sons Pvt. Ltd and Singapore Airlines Ltd, according to people familiar with the matter, as the carrier grapples with the fallout from a turbulent year.

The money is conditional on reaching certain performance milestones and will be paid out in instalments, said the people, who asked not to be named because the matter is private. The support would be proportional to shareholding, the people said, with Tata Sons owning 74.9% of Air India and Singapore Airlines the remainder.

India's flag carrier is coming off a difficult period marked by the deadly crash of a Boeing Co. 787 Dreamliner, the closing of Pakistani airspace to Indian carriers, and the Middle East conflict that's disrupted travel and driven up fuel costs. Air India reported a record loss of ₹22,000 crore in its fiscal year through March.

Chief executive officer-designate Tewolde Gebremariam, who officially joins the carrier later this month, seeks to bolster Air India's cargo business and curb plane maintenance problems. **BLOOMBERG**


The catastrophic deluge in Nepal killed more than 1,200 people and left thousands missing. REUTERS

India reviews risk of glacial lake outburst floods

The review follows devastating flash floods in Nepal triggered by glacial collapse in Himalayas

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The government on Thursday reviewed India's preparedness to deal with glacial lake outburst floods (GLOFs), days after a glacier collapse triggered a catastrophic deluge in Nepal that killed more than 1,200 people and left thousands missing.

The meeting, chaired by Union home secretary Govind Mohan and attended by state government officials and key central government bodies including National Disaster Management Authority (NDMA), Central Water Commission, and India Meteorological Department, reviewed the evolving risk of GLOFs—sudden floods that occur when a natural dam holding a glacial lake collapses—in the Himalayan region, with particular emphasis on early warning, monitoring of vulnerable glacial lakes and snow-covered areas, identification of high-risk locations, flow path, timely dissemination of alerts, evacuation preparedness and strengthening of response mechanisms, a home ministry statement said.

The review follows devastating flash floods in Nepal triggered by a glacial collapse in the Himalayas. India and Nepal share a 1,770km border, with the states of Uttarakhand, Uttar Pradesh, Bihar, West Bengal and Sikkim sharing boundaries with Nepal.

Officials in the meeting decided to strengthen India's early warning and response mechanisms to minimize loss of life and property in the event of such a calamity. The review focused on the preparedness of the Himalayan states and Union territories against GLOFs and snow avalanches, as per the home ministry statement.

Research by reinsurance company Swiss Re for India in July 2025 showed that floods accounted for about 67% of all economic losses from natural catastrophes in India over the preceding two decades. A 2023 report by Swiss Re also pegged India's economic loss from natural calamities at $12 billion, attributed mainly to floods and cyclone activity.

Experts say India can take further steps to monitor glacial lakes and strengthen early warning systems.

For an extended version of this story, go to livemint.com

'BCI can't regulate students' conduct'

The Supreme Court (SC) on Thursday held that the Bar Council of India (BCI) and state bar councils have no statutory power to regulate the conduct of law students, saying it was for educational institutions to take action against students in accordance with their own regulatory norms.

A bench comprising Chief Justice Surya Kant and justices Joymalya Bagchi and V. Mohana passed the order while dealing with the controversy arising out of BCI's action against students of Hyderabad's Nalsar University of Law over their objections to the CJI's proposed participation in the university's convocation.

The court also set aside two notifications issued by BCI in connection with the Nalsar row, even though both were withdrawn within hours of their issuance following widespread criticism. **PTI**

SC disposes of Sebi pleas against NSE

The Supreme Court (SC) on Thursday disposed of pleas by the Securities and Exchange Board of India (Sebi) against the National Stock Exchange (NSE) in the co-location and dark fibre cases after the market regulator approved the ₹1,491.21 crore settlement with the exchange. The cases relate to allegations that certain stockbrokers received unfair, preferential speed advantages to access market data and trade before other investors. In July, NSE paid ₹714.74 crore to Sebi after receiving its in-principle approval to settle the cases for ₹1,491.21 crore. The latest payment, together with ₹776.47 crore already deposited by NSE, completes the settlement amount agreed under the revised terms. **PTI**


Kumar Mangalam Birla's conglomerate is seeking to finance the acquisition of Shell assets. BLOOMBERG

Birla unit buyout loan draws $2.5 bn in bids

A unit of billionaire Kumar Mangalam Birla's conglomerate has received as much as ₹24,000 crore ($2.5 billion) in commitments from at least four banks for an acquisition loan, 70% more than what it was planning for, according to people familiar with the matter.

The Aditya Birla Group is seeking a ₹14,000 crore loan to finance the acquisition of Shell Plc's renewable energy assets in India. Axis Bank and State Bank of India have each committed up to 70 billion rupees, while Union Bank of India and Punjab National Bank have offered credit lines of around ₹5,000 crore apiece, the people said. The actual disbursements would be less than those ceilings, they said. The conglomerate is also in discussions with a few other large banks including HDFC Bank Ltd and Kotak Mahindra Bank Ltd, which could also extend credit lines, the people said.

The commitments underscore the strong appetite from Indian lenders for large corporate deals as they compete with global peers in financing big acquisitions in the country's $40 billion-plus deals market. India's central bank began allowing local banks to finance corporate acquisitions from July 1 in a bid to spur the economy. **BLOOMBERG**

Banks propose forex swaps to cut liquidity

Indian lenders proposed using foreign exchange sell/buy swaps to gradually withdraw excess rupee liquidity from the banking system at a meeting with the central bank on Thursday, three sources familiar with the discussion told *Reuters*.

Banking system liquidity surged to a record ₹9.7 trillion ($102.66 billion) after India drew $127 billion in foreign-currency deposits from non-residents under a special scheme, with the funds swapped directly with the Reserve Bank of India.

The central bank has several tools to tighten liquidity, including forex swaps, bond sales and an increase in cash reserve ratio. **REUTERS**


The relief comes as a boost at a time of leadership uncertainty at the group. MINT

Tata gets relief in share transfer case

Tata Trusts said it received relief in a regulatory probe, potentially allowing the controlling shareholder of Tata Group's holding company to resume business as usual as it seeks to pick a new chairman.

The Trusts received an order from the Maharashtra Charity Commissioner dated 2 September, closing a complaint related to a 1989 share transfer, according to a statement on Thursday. That complaint had triggered restrictions that prevented one of the Trusts from convening internal meetings.

The relief comes as a boost at a time of heightened leadership uncertainty triggered by Natarajan Chandrasekaran's unexpected decision to step down as chairman of Tata Sons Pvt. Ltd. The Sir Ratan Tata Trust, one of the 13 Tata charities, had been unable to nominate a member for the new chairman-selection process because of the curbs. **BLOOMBERG**

'Cos must be ready if EV subsidy ends'

Government subsidies for electric vehicles (EV) will end in the coming years, and companies need to be prepared for the challenge, a top official said on Thursday.

The Indian automobile industry must collaborate to set up charging infrastructure to promote electrification on a larger scale, Kamran Rizvi, secretary in the heavy industries ministry, said while addressing the annual convention of the Society of Indian Automobile Manufacturers (SIAM) in New Delhi.

Rizvi also asked automobile and component makers to spend more on research and development, stressing the need to carry out research and development at a much larger scale.

The electric three-wheeler segment in India currently accounts for 50% of total sales in the segment, which is significantly higher than the target of 10% by 2026, he pointed out. **PTI**

In ease of biz push, govt rewriting corporate compliance rulebook

FROM PAGE 1

proportionate design with calibrated compliance norms, depending on companies' size and risk profile, they said.

Queries emailed to the corporate affairs ministry remained unanswered until press time.

The exercise looks to build on the eased compliance burden proposed in the Corporate Laws (Amendment) Bill, 2026, which was introduced in Lok Sabha in March, and then referred to a joint parliamentary panel for vetting.

The bill proposes to decriminalize civil offences related to compliance across about two dozen provisions of laws on companies and limited liability partnerships. It has also proposed exemption from mandatory corporate social responsibility (CSR) and auditor appointment requirements for select classes of companies, among other provisions. The parliament panel submitted its report last month, and it is being examined by the ministry.

As for the latest consultations, they seek to view reform opportunities through the prism of practitioners, as much as the regulators, said the people in the know.

Most of these compliance reforms may be part of the rules and regulations that don't require parliamentary approval to be implemented, analysts said.

The proposals aim to bolster compliance workflows, expand


The proposals aim to bolster compliance workflows. ISTOCKPHOTO

automatic approvals through the so-called straight-through process (STP) and unlock automation potential via intelligent system integration, pre-filling, and reuse of corporate registry data.

"The consultation exercise aims to ensure inclusive, evidence-based reform that reflects the lived experience of businesses, professionals, and regulators," said one of the two people cited earlier.

The ministry will finalize its proposals after factoring in stakeholder views.

Among the focus areas is bolstering of the MCA21 portal, used by companies for various filings and acts as a corporate data repository. The latest version of the portal, the V3, has attracted frequent criticism over technical glitches since its introduction in 2023.

As for automatic approvals, about 80 forms on various filings are handled on the STP (straight through process) or conditional STP basis on the MCA21 portal, allowing acceptance of forms electronically. This could be significantly expanded.

"If implemented successfully, the latest plan could ease the compliance burden felt by companies, especially MSMEs (micro, small and medium enterprises), which often struggle with procedural complexity," said Shankey Agrawal, partner at BMR Legal.

Companies often struggle with overlapping forms and tedious manual filing under the Companies Act, which weigh on their compliance efforts, said Agrawal.

The latest MCA21 version signalled the government's bid to streamline the approval process, and the proposed reforms would be "a major leap towards making corporate compliance simpler and more efficient", he added.

"The proposed rationalization of the filing framework will significantly cut duplication and manual intervention in routine filings," said Manmeet Kaur, partner at Karanjawala & Co. Further form consolidation and the STP expansion would come in handy, she said.

"That being said, the success of the exercise depends on how well the system handles cases and unusual filings that don't fit neatly into pre-filled templates," she added.

4G phones set for comeback in India amid rising memory costs

FROM PAGE 1

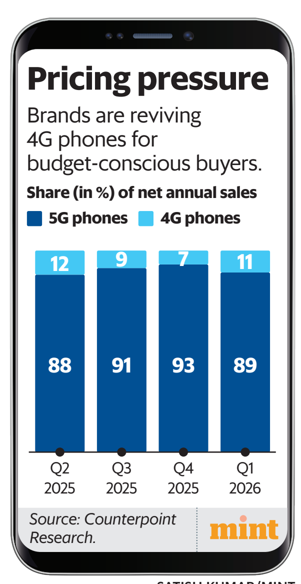
chips to handle faster network speeds and heavier computing demands. This makes 4G phones potentially less expensive to manufacture.

Retailer survey reports and market analysis data accessed by *Mint* shows prices of memory and storage chips have increased 2-3 times over the past 18 months. Companies have been forced to raise retail prices of inexpensive 5G smartphones to over ₹15,000.

In the past 12 months, every company barring Apple has raised prices of their smartphones—over seven tranches and up to 90% so far. On 7 April, *Mint* was the first to report that phone prices across Samsung, Oppo and Vivo, India's top three brands, would rise by over 40%.

Phones priced under ₹15,000 account for more than half of the smartphones sold in India annually and the sweeping price hikes have stalled sales this year. After a difficult first half of the year, analysts projected a 15% year-on-year drop in smartphone sales in India by December.

Companies now appear to be bringing 4G phones back in the hope of catering to buyers looking for new smartphones priced below ₹15,000. Analysts told *Mint* that Vivo, Lava



SATISH KUMAR/MINT

and local newcomer Boltt may use 4G devices to lure buyers.

"Each brand will seek to protect their share of buyers in the under-₹15,000 price range. The goal is to address first-time smartphone buyers that are highly price-sensitive," said Pathak.

On 7 April, Vivo launched Y05 4G at ₹12,999. On 25 August, Noida-based Fire-Boltt entered the smartphone industry with two devices—of which one was 4G-only, priced at ₹10,999. And, on Thursday, Lava International launched Bold N4 Lite, a 4G-only smartphone at ₹7,999.

Earlier 4G-only launches include Samsung's Galaxy M07 on 18 September at ₹6,999, Motorola's G06 Power on 7 October at ₹7,499 and Oppo's A6x on 2 December at ₹12,999.

"The growth of the 4G segment this year is a calculated reality of the current economic climate. While 5G remains the definitive long-term growth driver for budget smartphones, our priority is to deliver value," said Sumit Singh, senior vice-president and head of product at Lava International.

The memory chip supply shortage, rising out of artificial intelligence companies and data centres buying out memory manufacturing lines and putting other industries under pressure, has changed the balance of a globally established smartphone supply chain.

Counterpoint's Pathak said that prior to 2025, memory chips accounted for "less than 15% of the total making cost of a smartphone."

"The same has now exponentially expanded to over 40% of the bill of materials of a phone. For budget smartphones, it is very difficult to use 5G connectivity and other components without raising prices—thus leading to 5G devices now costing upward of ₹15,000 at the very least," he said.

For an extended version of this story, go to livemint.com.

Jauhari named CEO of Kotak Alts arm

Kotak Alternate Asset Managers Ltd has appointed Pushkar Jauhari as chief executive of its private equity and venture capital division, the company said in a statement on Thursday.

Jauhari will lead investment strategy, fundraising, new investments, portfolio management and exits for Kotak Alternate's private equity and venture capital platform. "In my experience, good private equity investing starts with choosing the right businesses and staying closely involved as they grow. Kotak Alternate has an established platform and experienced investment teams," Jauhari said.

Jauhari has been involved in over 25 private equities, mergers and acquisitions and public equity investments worth over $900 million. His experience covers fundraising, investment selection, working with portfolio companies and exits. He has also held over 10 board positions during his professional journey. **PRIYAMVADA C**

THE BIG BUSINESS BEHIND INDIA'S SMALLEST TABLES

Across India, some chefs are trading scale for intimacy—and discerning diners are paying a premium

Neha Bhatt
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NEW DELHI

One recent Sunday evening, a group of nine diners gathered at Barbet & Pals, a popular Delhi cocktail bar. As soon as the clock struck 8, the staff whisked them past the buzzing crowd, escorted them through a door with no handle, and led them down a passageway, to a basement that transformed into an intimate living-room-cum-open-kitchen glowing in red and blue ambient light.

This is Cavity, a micro bar hidden inside a bar, that opened in February this year, part of a growing trend of small-format dining concepts coming up across the country. Cavity offers a nine-seater, nine-course innovative cocktail-tasting led meal that runs Friday to Sunday, with a focus on modern twists on regional, GI (geographical indication)-tagged ingredients.

For those with a coveted reservation made weeks in advance, the experience began with personalized welcome notes attached to the L shaped counter seats overlooking the open kitchen. Even among strangers, the mood was easygoing, humour-laced and mysterious: what might we be served next?

For the next two hours, Barbet & Pals founders and bartenders Jeet Rana and Chirag Pal regaled diners with a story for every course, talking about the provenance of the unique ingredients in the food designed by chef Amninder Sandhu, and the drinks they assembled and served in style—from a fizzy cherry-coloured Sundarban honey mead served with a liver pate hidden inside a mini cotton candy, to a warm Sikkimese black cardamom-flavoured cocktail paired with corn-shaped brioche and Nihari.

One of the diners at the table was 27-year-old Dhananjai Subramaniam, a beverage consultant and a foodie, who had come for the event with a childhood friend.

"Tasting menus are generally expensive and not that accessible. But at ₹5,500 plus taxes for nine cocktails and food pairings, Cavity offers great value for money," he says. "The experience is intimate—the distance between you and the kitchen is almost zero. Watching the food move straight from the counter to your table turns into a conversation about techniques, culture, and flavour."

Like Subramaniam, discerning and well-heeled diners across the country are enthusiastically seeking out micro-dining concepts, not just on occasions but as a regular activity.

According to Mordor Intelligence's *India Full-Service Restaurants Market Size and Share* report for 2026-2031, restaurants are evolving into "lifestyle destinations as customers increasingly seek more than just food; they want a complete dining experience that includes ambiance, interaction, and entertainment."

To meet these expectations, says the report, restaurant operators are introducing "unique features, including chef-interaction counters that encourage customers to spend more time at the restaurant but also allow businesses to charge premium prices."

Priced between ₹5,000 and ₹12,000, and seating just four to 16 guests, these spaces get sold out within minutes of the reservations being released, often months in advance, on restaurant websites or booking platforms like Airmenu and District.

So if Cavity is a bar within a bar, Olive's brand new Hidden Club in Delhi, with just four seats on offer, can only be accessed through a backdoor entrance and is possibly the smallest bar in the country. Naru Noodle Bar in Bengaluru offers an over the counter ramen-centred interactive dining experience, with monthly specials. Naar is a remote, curated destination experience located near Kasauli. The year-old Rannaghor in Kolkata is an attempt to go beyond regular Bengali fare to spark conversations on forgotten food stories and the interplay of caste and class in food culture.

Rushina Munshaw Ghildiyal, a food consultant and editor of the Annual Godrej Food Trends Report, notes that the rise of small-format dining reflects a broader post-pandemic shift: intent is winning over opulence.

"In intimate dining spaces, there is no standardised menu. A lot of thought goes into the flavour profiling. It's customised and nuanced," she says.

And the chefs are the Shah Rukh Khans of that space, she adds.

(Clockwise from top) Micro-dining restaurant Naar, located an hour from Kasauli in Himachal Pradesh; guests at Cavity, a micro bar hidden inside a bar in Delhi; chef Hussain Shahzad at Papa's in Bandra West, Mumbai.

NOODLES CAME FIRST

Among the pioneers of this small-format wave is Naru Noodle Bar in Bengaluru. What started off as a delivery-only kitchen in 2020 transformed into an interactive, eight-seater ramen bar in Bengaluru's culinary and cultural hub, The Courtyard, in 2022. It became so popular that scoring a table became the ultimate trophy, compelling founder and chef Kavan Kuttappa to update his Instagram handle: "Not the reservation desk for @eatnaru".

"Someone told me they had a certain illness and didn't have too long to live and just had to come in for a bowl of ramen," recalls Kuttappa.

> Profit is not the primary driver in micro dining. It is a culinary playground for chefs to break the mould and take bold risks.

Though demand exceeded capacity, Kuttappa was sure he wanted a compact ramen counter like the ones he had experienced in Japan. "It was my first project, so it was bootstrapped and a 250-square-foot shop is what I could afford. I decided to keep a time-slot system and a cover charge of 1,000 per person to ensure I don't have empty seats. We wanted some kind of accountability."

The strategy worked, covers were increased to 20 and Naru did well enough for him to expand his business pursuits, and open Bar Doubble nearby, that can accommodate more people.

"Overheads and wastage are naturally lower in smaller-format restaurants. We have been steadily increasing our slots and now serve about 110 people a day. Our year-on-year growth is 10-14%," says Kuttappa.

ZERO TO ₹45 CRORE

The micro-format's success isn't limited to urban centres. High in the misty mountains, an hour from Kasauli, destination restaurant Naar has proved that a 16-18 seater, strictly by reservation model, can deliver significant returns.

"In 2022, when I told people I was moving from Mumbai and opening a restaurant an hour away from Kasauli, they told me Indians never travel for food. But I wanted to build Naar for myself, knowing it's ambitious, even if it runs only for six months," says Naar's chef-founder Prateek Sadhu, who borrowed ₹3 crore from friends to set it up. "We were frugal and kept overheads low. This could only be done if we developed it as an intimate space," he says.

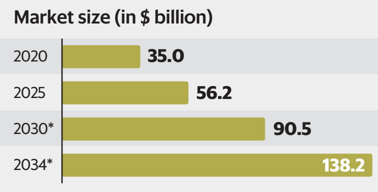
Priced at ₹6,900 without drinks, the meal unfolds over two-and-a-half hours and spotlights cuisine and ingredients from across the Himalayan range.

Within six months, he had to add lunch service to keep up with the demand. "As a hospitality brand, we started with zero valuation, and today it stands at ₹40-₹45 crore," says Sadhu, who was able to pay back investors within a year and a half of operations, with dividends. The brand has since expanded into Yaan, a corporate events vertical, with another dining venture opening in Goa this month.

Growing appetite

India's food service market is expected to more than double by 2034

Market size (in $ billion)

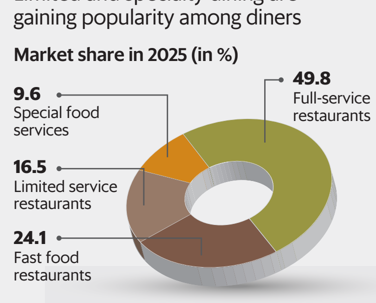


*Projected market size

Tiny-footprint bets

Limited and specialty dining are gaining popularity among diners

Market share in 2025 (in %)



Source: IMARC Group

mint

PRATEEK KUMAR/MINT

Making small cover count economically viable also relies heavily on the price charged per cover. "The average spend at Naar is ₹15,000 per cover including cocktail or wine pairing. We have 18 covers each for lunch and dinner. It works way better as a format," says Sadhu.

THE APEX STRATEGY

For other hospitality groups, embedding a micro restaurant and bar that showcases chef talent within a larger company makes strategic financial sense. For Hunger Inc., the ₹150-crore company behind Bombay Canteen, O Pedro, Bombay Sweet Shop and Veronica's, for example, it came in the form of a premium, buzzing 12-seater chefs' counter, Papa's. The experience at Papa's plays out like a dinner party hosted by chef Hussain Shahzad. "It is set up as the apex of our pyramid," says founder and COO, Hunger Inc., Yash Bhanage. "Papa's hosts 220 seats a month—what our other restaurants do in a single day—so reservations fill up within 3-4 minutes when they open on the first of every month via District."

Papa's, located on the first floor at Veronica's in Bandra West, shares rent and resources with the latter. "The average spend at Veronica's is ₹1,200, at Papa's it's ₹12,000 per cover. It contributes about 3-4% of our total revenue, but it gives us a share of voice in what's happening in Indian food," says Bhanage.

Similarly, inside Kolkata's popular culinary hub Sienna, lies Rannaghor, Bengali for "kitchen", an eight-seater community table that opened last year.

"People often say there's nothing new happening in Kolkata, so Rannaghor became a passion project to truly represent Bengal," says chef-partner Avinandan Kundu. The 14 courses explore narratives of micro-regional cuisine, priced at ₹5,000-₹8,000 (the latter with cocktail pairings).

"It took us three years to build enough financial buffer to do this. Having the backing of a larger, stable establishment and a shared operation, makes creativity, and a self-indulgent project like Rannaghor possible. Currently, this format contributes about 10% to our overall revenue," says Kundu.

Rannaghor's margins have been satisfactory, he adds. "Our salaries come from shared finances with Sienna. If we had to be profitable as a stand alone place, we would have to run it seven days," Kundu says. Currently, the restaurant runs Friday through Sunday.

A TROUT TO CELEBRATE

To be sure, profit is not the primary driver in micro dining, say restaurateurs. It is a culinary playground for chefs to break the mould and take bold risks. "Most new bars are similar to each other. We wanted a bartender's bar, where diners get more than cocktails and food. We wanted them to feel like they have come to someone's living room in the mountains. We wanted to interact with customers and have conversations that everyone, including us, will remember," says Rana.

Curation is at the heart of the experience in small-format dining because while courses are many, there is pressure to make them shine. Menus evolve every few months, depending on seasonal availability of ingredients and creative impulses of the chefs and bartenders.

"The diner has no idea what they are going to eat, although we tell them the kind of meats we might serve if they ask; trout will always be there because it's one ingredient we want to celebrate," says Sadhu.

At Rannaghor, the chefs travelled across rural Bengal to sample food traditions with indigenous families, such as red ant chutney and kulti (horse gram) dal, that were built into the menu with modern twists.

The idea is to go beyond a regular chef's tasting menu and keep refining the experience based on feedback. "Most fine dining is boring, the portion sizes are small, and people rarely remember it as an entertaining experience. We wanted Papa's to be a space where guests feel genuinely joyful and well-fed. The menu changes three times a year, and we've refined it down to roughly 11 courses. We pace the courses alongside a playlist of old-school hip-hop and pop," says Bhanage.

FASTEST FINGERS FIRST

The draw goes beyond the plate: diners come for the novelty, direct chef interactions, immersive storytelling and performance, and a communal feel, creating a strong cult following amplified by social media. Each of these premium dining spaces offers you something different, says Ghildiyal.

Diners say it's worth the hustle of getting a seat at the table, the price, and the commute. At Cavity in South Delhi for example, Pal and Rana have hosted diners from Gurugram, Noida, Ghaziabad, even Meerut. The success of this format mirrors modern economic shifts and changing travel habits, says Sadhu. "Our guests are young professionals and aspirational middle-and upper middle class diners looking for meaningful value, rather than the ultra-rich. People plan two-day trips around a single reservation after hearing about us. They are looking for that special experience."

Micro dining appeals to a wide demographic, attracting guests anywhere from their late 20s to early 50s, and perceived exclusivity remains a major driver. "It's become a game of fastest fingers first to get a place at such a table. There may be an element of being seen at these places," says Ghildiyal.

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Ronit Bhat, 34, director at the Children's Academy Group of Schools, enjoys dining at Papa's on special occasions. "I've always had a thing for chef-led dining, and after missing out the first month when reservations filled up within a minute, my wife and I finally got a table. It turned out to be the best dining experience I've had in India," he says.

For him, the experience hits every mark, every time: the theatre of the kitchen whets the appetite; unexpected ingredients push your culinary boundaries, and intimate storytelling makes you feel genuinely connected to the chef's craft.

The format may be tiny, but the payoff, for diners and restaurateurs alike, is steadily growing bigger.

Student term insurance: a smart buy or just a needless expense?

Lower premiums, easier underwriting make young adults a key market, but not every student needs a life cover

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NEW DELHI

Term insurance has traditionally been associated with people who earn, have dependants or carry financial liabilities. But a few insurers are now offering term cover to students as young as 18, well before they start earning.

At first, this may seem unusual. Students typically have no income or dependants. But the equation changes when higher education involves a large financial commitment, whether through an education loan or family savings. This has led to the emergence of student-focused term insurance, offering life cover to young adults while they are still studying, and before they enter the workforce.

An education loan is not a prerequisite. Students aged 18-25 qualify for it as long as they meet underwriting criteria. But does every student need term insurance? How much cover can they get without an income? How are they underwritten? And does it make sense to buy a policy so early in life, before starting a career?

Market takes shape

Axis Max Life Insurance, ICICI Prudential Life Insurance, HDFC Life and Tata AIA Life Insurance have introduced term insurance plans that can be bought by eligible students. These include Smart Term Plan Plus, iProtect Smart Plus, Click 2 Protect Supreme Plus and Sampoorna Raksha Promise, respectively.

Bandhan Life does not have a product specifically labelled as student term insurance, but it offers term insurance to eligible students. However, being a graduate is its minimum eligibility requirement, while other insurers may offer cover to undergraduates as well.

"Our advisors brought this proposition to us. We found that parents often drive this need, given the heavy financial burden of higher education and the large number of students taking education loans. Just as any liability needs risk coverage, we explored offering reasonable term insurance to students," said Vaibhav Kumar, head, products, e-commerce and enterprise COE, Axis Max Life Insurance.

In the last three to four months, approximately 1,000 students have bought term insurance from our platform, said Varun Agarwal, head of term insurance at Policybazaar.

What it covers

Student term insurance is no different from regular term insurance. The insurer pays the death benefit if the policyholder dies during the policy term. These plans too come with additional frills that can vary from one insurer to another. These include personal accidental cover, payout on terminal illness, premium waiver and wellness benefits.

"When comparing insurers, look at two things: trust markers such as claim settlement ratio, complaint ratio, total claim amount settled and solvency ratio. And value-for-money markers such as product features and premium," said Agarwal.

"Some term insurance plans provide free benefits at no extra cost: 100% payout on terminal illness, waiver of future premiums on terminal illness, the option to defer 12 months of premium, and wellness benefits such as annual health check-ups, doctor teleconsultations, cancer screening and discounts on pharmacy and lab tests," he added.

Underwriting students

Term insurance requires financial and medical underwriting. Most students in the 18–25 age group have little or no personal income. Insurers offering student term insurance have therefore developed alternative ways to assess them.

Educational credentials play an important role here.

"Financial underwriting is not required if the student is studying in one of the top colleges in India and abroad. And if the student is not studying in those top colleges, then we actually use surrogates such as parents' income as an underwriting mechanism," said Kumar of Axis Max Life Insurance.

The student's education and academic records can help establish eligibility for a certain level of cover, say ₹25-50 lakh. For higher sums assured, the insurer may look at the family's income and financial profile.

Medical underwriting is largely digital, with video-based medical assessments being used. Physical medical examinations may be required depending on the sum assured and health risks diagnosed during online medical assessment.

"We know students are reasonably healthy and may not prefer visiting medical centres. So, up to a reasonable sum assured, we offer video medical assessment where a doctor interacts with the student on a video call. This makes onboarding more frictionless and aligns with Gen Z's preference for seamless digital experiences," Kumar added.

Further, while education loans are one of the clearest use cases for student term insurance, having a loan is not necessarily a prerequisite. The rationale is broader.

"The insurer may consider the student's educational background, future earning potential and family financial profile while deciding eligibility and the amount of cover. However, students who have completed their education but remain unemployed for an extended period may not qualify for the insurance," said Maneesh Mishra, chief product and marketing officer, Bandhan Life.

The early-buyer case

The biggest argument in favour of buying early is cost.

"Buying while you're still studying locks in a premium 20-30% lower than what you'd pay after 25-26 years of age. It would save you around 20% on the total premium over lifetime," said Agarwal.

The other advantage is insurability. A young person is more likely to be healthy and qualify for standard underwriting. If a health condition develops later, buying a new policy could become more expensive or difficult.

However, this does not mean that every 18- or 20-year-old student needs a large term cover.

Term insurance is primarily meant to protect against the financial loss caused by the death of the insured.

"This makes sense when the student is about to take an education loan or has family members who depend on them financially. That way, in a worst-case scenario, they don't end up leaving their family with the responsibility of clearing their debt. But it isn't necessary if you aren't taking a loan and don't have any dependents," said Abhishek Kumar, a Sebi-registered investment advisor and the founder of SahajMoney.

There is also the argument of building good financial habits early.

"We see so many students wanting to invest in SIPs. Just as investing and saving are important, so is protection. It's the next logical building block," said Kumar of Axis Max Life.

Cover may fall short

A term plan bought while studying may not remain adequate as financial responsibilities grow.

What happens when the student's financial responsibilities increase as they get married, have children, take a home loan or become responsible for ageing parents? The term cover bought as a student may then prove inadequate.

"There is no problem in having multiple term policies. The total coverage should not be more than your human life value, so always disclose all the insurance you have before buying a second or third policy," said Kumar of SahajMoney.

Can student term insurance be used as collateral for an education loan?

"A student may buy a term plan independently, but that does not automatically mean the bank will accept it as collateral or as security for an education loan. Banks offer credit life insurance for the same," said Mishra.

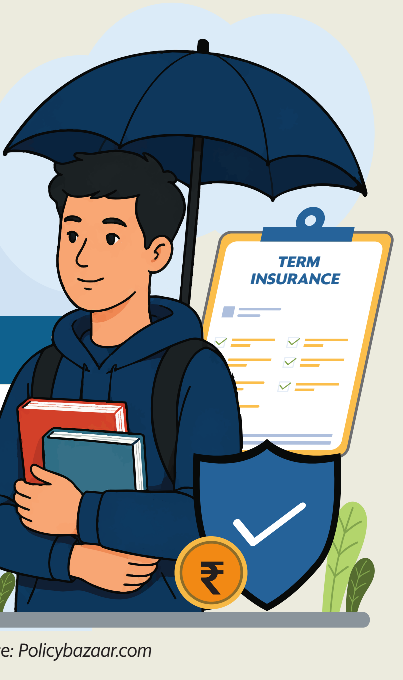
Credit life insurance is a variant of a term cover designed to cover a borrower's outstanding loan liability in case of death. The coverage typically reduces over time as the loan is repaid. The money goes to the lender unlike student term insurance where the coverage will go to the family.

While student term insurance is being positioned as an early start to financial planning, the basic purpose of life insurance remains protection.

It is most relevant when someone has dependants who may need financial support or liabilities that could fall on the family in their absence. Students with either of these needs may consider buying life cover early; for others, it may not be necessary at this stage.

When does a student term insurance make sense?

A new term insurance proposition is targeting students; here's when it makes sense—and when it may not be needed.



What is it?

Term insurance for 18–25-year-olds while studying

Insurers	Plan name	20-year-old (₹)	25-year-old (₹)
ICICI Prudential Life Insurance	iProtect Smart Plus	477	583
Axis Max Life	Smart Term Plan Plus	479	609
HDFC Life Insurance	Click 2 Protect Supreme Plus	387	535
TATA AIA	Sampoorna Raksha Promise	453	523

Note: All premiums are monthly, for a ₹50 lakh cover over a 40-year policy term; Source: Policybazaar.com

Why insurers are pitching it

- **Higher education** involves a significant financial commitment
- **Parents often** fund or co-borrow education loans
- **A student's** death could leave the family with an outstanding loan
- **Insurance can** provide a financial cushion to the family

Eligibility

- Depends on the insurer, course, college and potential future earnings
- Some insurers also consider the parents' income

Amount

- **₹25-50 lakh** typically without financial underwriting
- Higher coverage requires consideration of the family's financial profile

It makes sense if...

- You are taking a substantial education loan
- Your family would struggle to repay the loan in your absence
- You have financial dependants

It may be less relevant if...

- You have no significant liabilities
- Nobody depends on you financially

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POWER POINT

KAPIL MEHTA

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TRAVEL INSURANCE FINE PRINT LEAVES YOU HIGH AND DRY

My daughter recently travelled to Europe. Trouble began on the return leg. Her first flight was delayed by four hours, making her miss her connection to India. The airline re-routed. That flight was delayed, too. She reached Delhi 12 hours late. Somewhere between terminals, she twisted her ankle. Her checked luggage arrived two days later.

She had a top-end travel insurance policy with a long list of covers. I checked what she could claim. The answer? Nothing. The policy promised $500 for a missed connection, less whatever the airline owed under the law. But the fine print said the benefit applied only if the original layover was six hours or more. My daughter's was two. The claim was ineligible. The airline was another fight. Under EU rules, airlines must pay a fixed amount for long delays. My daughter wrote to the airline. The response invoked "extraordinary circumstances", a catch-all exemption.

The fine print matters

I checked the missed-flight clause across travel insurance products. The minimum time difference required between connecting flights varies widely. Some insurers set the bar at three hours; a few impose no limit. In hindsight, I should have read this clause before buying the policy. Then came the leg injury. My daughter was treated for a sprain as soon as she landed in Delhi. But this, admittedly minor, expense was not covered because medical treatment in India was excluded. Had she sought treatment in Europe, it would have been covered.

Finally, no compensation was paid for the luggage that arrived two days late, as return-leg baggage delays were excluded. Three of the four policies I examined had similar exclusions. Other restrictions included exclusions for injuries while driving a two-wheeler, caps on related costs, and treatments that could wait until the insured person returns home. That is subjective.

Loss of valuables and electronics packed in checked-in luggage was also not covered. This seems restrictive. You would need receipts for expensive items in a lost bag to get full coverage, but few of us are that systematic. One restriction puzzled me. The insurance covered hijacking with a per-hour distress allowance but excluded payment if you were the hijacker or an accomplice. Why would someone hijack a plane, bring it down safely and then file an insurance claim for $100 an hour of delay?

> You must check key exclusions, claim data and policy wording before buying a travel cover

The caveats made me think about claim settlement rates. These are reported in their NL-47 public disclosures. For 10 popular individual travel plans, average claim rejection was about 45%. The rejection rate across insurers ranged from 20% to 75%. That means some insurers reject more claims than they pay. Some of this is understandable because travel insurance contracts are not standardised in the way health insurance contracts are. Yet the proportion of rejected claims is high.

Five things to check

So how should you select travel insurance? Five things matter. First, think through your travel plans before buying a policy. If you have a two-hour layover, choose insurance that pays at that threshold. If you are arriving in India at a city different from your hometown, make sure the policy covers baggage delays in India as well. Second, identify the benefits that matter most. If you have a pre-existing health condition, coverage for it is key. Many travel insurance policies exclude this, but some cover emergency hospitalization with sub-limits. Make sure you choose one of these products if you need it.

Third, buy a policy that ends a few days after you return home. This should not materially affect the price but ensures you remain covered if your return is delayed. Fourth, read the NL-47 public disclosure for your insurer. It contains valuable information on claim settlement and grievance rates. Finally, read the policy wording once, particularly the exclusions. It will give you a realistic sense of what the policy actually covers.

My daughter is planning another overseas trip early next year. This time, I am much wiser about choosing travel insurance.

Kapil Mehta is the co-founder of SecureNow Insurance Broker.

'Manufacturing emerges as bright spot amid export opportunities'

Jash Kriplani
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MUMBAI

MONEY GURU

At a time when the headline indices look range-bound, R. Sivakumar, chief investment officer of Axis Mutual Fund, sees pockets of opportunities across large-, mid- and small-caps. He believes growth is showing signs of revival, particularly in manufacturing, exports and domestic private capital expenditure. He argues that the flat headline index masks gains in parts of the broader market, while large-caps have become relatively cheaper and mid- and small-caps continue to offer stronger earnings growth despite elevated valuations. For the next few years, he sees manufacturing and the revival of the private capex cycle as key themes, with the broader market offering opportunities for investors willing to look beyond headline indices. *Edited excerpts from the interview:*

Which sectors are you bullish on, and which would you avoid?

Let me start with caution. IT rallies reflexively whenever global semiconductors sell off, on the same AI/anti-AI trade, but that isn't a reason to own it, because quarter-on-quarter growth momentum still hasn't returned. The AI-deployment piece is growing fast, but it's a small slice of revenue; the bulk is legacy software development, which is deflating. Consumer staples remain weak, though turning slightly. And in pockets that have run very hard—power, auto ancillaries, defence, electronics manufacturing—be selective. Power is the clearest example: prices now bake in billions of dollars of data-centre orders that haven't arrived, and companies that can't meet those expectations are being de-rated quickly. We like power as a long-term cyclical theme, but at today's prices, you have to question it.

Where do you see opportunities?

Manufacturing, especially exports, and especially in mid- and small-caps. India accounts for under 2% of global manufactured goods exports, so there is a lot of room for growth. Rupee depreciation bodes well for exporters, and the new free trade agreements (FTAs) with the European Union and the UK bring us to tariff parity with the likes of Vietnam and Bangladesh. Second: domestic private capex has finally turned. Aggregate capex looks slow only because infra is soft; strip that out, and private capex appears to have improved. Beyond that, auto ancillaries are a strong theme as the ICE-to-EV shift reconfigures global supply chains, alongside policy-driven areas like semiconductors and electronics manufacturing services under the production-linked incentive schemes, and defence.

We have seen some price and time corrections. Does it make large-caps attractive?

Yes. India's valuation premium to the world is now essentially zero, which is astonishing given we've almost always traded at a premium. It is less about India becoming cheaper and more about other global markets becoming more expensive. Large-caps are trading more than one standard deviation below their long-term averages, so you're paying relatively less to be in the market—relatively cheap, I'd stress, not absolutely cheap. And the laggards are turning: banks are the clearest case. System credit growth has gone from around 10% a year ago to 16-18%, asset quality is clean, and margins just need the rate hikes the Reserve Bank of India is signalling.

Mid- and small-caps have rallied. Is there still room, or have valuations peaked?

They look expensive on a standalone P/E basis, but that's where the growth is. When Nifty earnings were growing around 8%, mid- and small-caps were compounding 15%-plus, and that's accelerating even as Nifty-level earnings are picking up. A stock at 30-40 times on 30% earnings growth looks very reasonable a year or two out. So, the real question isn't the multiple; it's whether the growth is real. That said, they're trading about one standard deviation above long-term averages, so there is some valuation risk, and I'd be careful stock by stock wherever expectations have run ahead of fundamentals. My advice: if you're only in small-caps, diversify into a multi-cap or flexi-cap so you have exposure across the spectrum, and then stay the course.

> India accounts for under 2% of global manufactured goods exports, so there is a lot of room for growth
>
> **R. Sivakumar**
> Chief investment officer
> Axis Mutual Fund

India has introduced the closing auction session, and the market seems to be struggling to adjust.

For a long-term investor, it changes very little. The intention is cleaner, more efficient price discovery. India was actually an outlier globally in using a volume-weighted average price to set the close; a single-price auction window is how most markets, and derivatives, close around the world, so there's nothing inherently problematic about it. It's a change in market plumbing, so a transition period is natural. We're one month in, too early to read much into it. We've been through far bigger transitions—weekly to rolling settlement, physical shares to demat, T+2 to T+1—each caused temporary friction, but none had any lasting negative effect; settlement only got better.

Markets have been range-bound for a while, and many newer investors haven't seen a phase like this. What would you tell them?

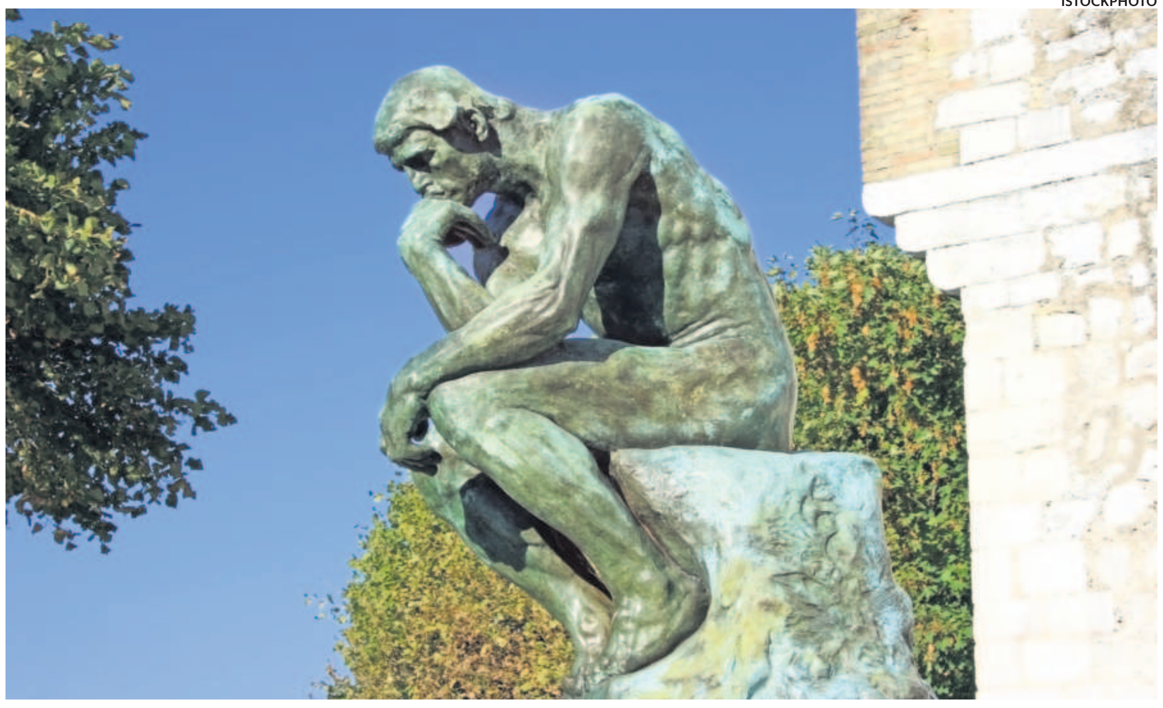
What we've largely had is a time correction, not a significant price correction. In a time correction, prices mostly move sideways for a long stretch. The worst thing an investor can do is react to a flat headline index by churning the portfolio or stepping away. Stay invested, stay diversified across large-, mid- and small-caps, and keep your systematic investments going through the volatility. The mood can change — foreign flows have already started coming back — but you can't wait for everyone else to buy first and then hope to catch it. Those who hold through these phases are usually the ones who make the returns when the cycle turns.

The headline index has gone nowhere for two years. Does that capture what's really happened?

Not really, and this is important. Three sectors — banks, IT and FMCG — make up nearly half the Nifty and the Sensex. When that half doesn't perform, the whole index looks like it's gone nowhere, even though plenty of stocks in the other half have done very well. So the flat headline hides a lot. My message to investors is: don't look only at the index level and conclude nothing is working. Go below the surface and there have been opportunities right through this period, whether in the broader market or in individual large-caps.

OUR VIEW

ISTOCKPHOTO



What's impossible is not useless to the economy

Be it Amartya Sen's tackle of Arrow's theorem or India's fuzzy-logic position on a big macro trilemma in the face of a dollar in-surge, what cannot be done can also get minds whirring

Impossible. This word, or at least the popular understanding of it, gets a bad rap. Ad slogans dismiss it, while academics wrestle it. Creativity coaches use it as a tool; think of six impossible things before breakfast, they say, just as Alice of Wonderland was advised. Yet, its rap-sheet also exemplifies its value. The word's wonder lies in the fine minds it has wracked. In academia, an elegant blow was delivered by Amartya Sen to Arrow's 'impossibility theorem'; if there are three options or more, it stated, no voting rule can convert individual preference rankings into a collective rank that satisfies a basic set of must-haves, like Pareto efficiency—nobody can be made better-off without at least one person left worse-off—and non-dictatorship. Something must get traded off. Sen's work, in contrast, showed that 'social choice' need not be so bleak if we enrich our data capture by going beyond ranked choices to include information on individual well-being and inequality. This possibility didn't just revive welfare economics, it won Amartya Sen a Nobel prize (in 1998).

The 'impossibility' in focus right now is one raked up by India's $127 billion haul of forex deposits. It's a classic macro trilemma: no economy can freely allow capital inflows and outflows, peg its currency's exchange rate and also run its own monetary policy. One of the three must be given up. In a world of borderless capital flows, a fixed currency implies a loss of control over interest rates, so a currency float is widely seen as the best way out. Ever since India began opening its economy in 1991, though, it has taken a fuzzy-logic stance on that trilemma. Capital controls were eased, but some bars stayed in place to contain capital-flight shocks (recall the Asian Crisis of 1997). This non-binary setting has left the binary choice of *either* a pegged rupee *or* rate-policy efficacy fuzzy too. While this means that the rupee's 'managed float' need not necessarily fail the central bank's mandate of price stability with economic growth in mind, the complexity of our settings also makes it hard to identify an optimal trade-off. This is why 2026 will serve as a case-study year. Inflows, after all, impact local liquidity. The Reserve Bank of India's (RBI) swap window for banks to take dollar deposits from overseas Indians, enabled by relieving banks of the risk of a rupee slide, has armed it with extra dollars to support a rupee that has been under duress. But it has also swamped banks with so much money (nearly ₹10 trillion) that overnight credit has gotten cheaper and a major mop-up is sure to push up bond yields. To sterilize a liquidity upswell, RBI must sell government bonds in bulk, boosting their supply. If not, price flare-up risks rise. In other words, a yield curve warped by India's in-surge of dollars is hard to escape.

The good news is how much harder it may nudge RBI's rate setters to secure monetary policy independence in India's unique trilemma context. RBI might not target any level for the rupee (this year's focus of concern), but each time its stability goal gets blurred with a currency buoy, India's fuzzy framework of a 'possible trinity' gets shaken. Any study of its optimality must begin with the three things of the trilemma that Marcus Fleming and Robert Mundell, who won his Nobel a year after Sen did, deemed impossible. As academia can testify, the ruling out of something can inspire fresh ideas. And what looks like a workaround can be an innovation. Even so, it's vital that gaps between theory and practice don't let us down.

MY VIEW | FARM TRUTHS

India's sugar price spike reflects gaps in the sector's management

This isn't the first instance of weak data inputs and ad hoc policies showing up in food-item prices

HIMANSHU
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The recent rise in sugar prices from about ₹45 per kg at the end of July to around ₹65 per kg at the end of August has put the management of agricultural produce in focus. Initially, this was blamed on the diversion of sugarcane for ethanol production aimed at fuel blending. But this was only part of the reason. Sugarcane diverted for ethanol has been in the range of 10% of sugar production and accounts for less than one-third of India's ethanol output. A larger share of the ethanol produced now comes from maize and broken rice. In fact, the share of sugarcane in ethanol production has been declining.

The main reason for sugar prices rising is faulty estimation of the sugarcane crop and *ad hoc* policy measures, which fuelled the price rise. Based on the agriculture ministry's estimates of sugarcane acreage and production, the Indian Sugar and Bio-energy Manufacturers Association (ISMA) estimated sugar production at 34.3 million tonnes at the beginning of the season (October-September). Even if one accounts for about 3 million tonnes being diverted to ethanol production, this level of output was sufficient to meet the domestic demand of about 28-29 million tonnes. But this was a gross overestimate of production, also acknowledged by the government; current estimates peg sugarcane output at 30.6 million tonnes. The shortage becomes obvious when 3 million tonnes of the crop is diverted for ethanol production, leaving domestic availability at around 27 million tonnes.

This is not the first time estimates have gone wrong. Even last year, as against ISMA's first estimate of 33.3 million tonnes, the actual output figure turned out to be 29.6 million tonnes. That the estimates for this year were incorrect was obvious since excess rains last year had damaged crops in Maharashtra, Karnataka and Gujarat. Uttar Pradesh's crop was hurt by fungal disease and pest attack. Curiously, rather than preparing for a shortage, the government allowed 1.5 million tonnes of exports of sugar on 7 November. By January, it was clear that the production estimates are exaggerated. But again, the government raised the export limit to 2 million tonnes on 13 February. Eventually, only 0.8 million tonnes were exported due to subdued global prices, with the government finally imposing an export ban in May.

The sugar story is as much about the inefficiency of agricultural data systems as about the flawed policy regime that allowed 2 million tonnes to be exported. Given the crisis, the government has now allowed the import of 1 million tonnes of sugar, just six months after exporting 0.8 million tonnes. It also imposed stock limits on traders and millers, putting further pressure on prices.

Other commodities too face a similar situation. Onion prices have also almost doubled despite adequate production. Fortunately, the government has not imposed any *ad hoc* export ban and has blamed market intermediaries and traders for the price spike. But this has been the reasoning for many years even as no solution has come about.

Take the case of wheat, which was under an export ban since 2022. It was lifted earlier this year due to record production and stocks. While high stocks give the government headroom, there is also the possibility of the El Niño phenomenon strengthening and hurting the next wheat crop. To be sure, it is too early to predict the production for next year. But one would have expected caution, given expectations of extreme heat and low water reservoir levels.

Concern over an aggressive push for ethanol blending at the cost of food security has recently been voiced by the chief economic advisor to the government. Unfortunately, a response to his suggestion of a better balanced policy is not yet visible on the ground or in India's official policy framework. Sugarcane is no longer the prime ingredient for ethanol production, with broken rice and maize becoming dominant. But it has also led to maize being diverted for ethanol at the cost of feedstock for livestock and poultry. According to the Indian Council of Agricultural Research, the acreage under fodder production has already fallen by one-fourth from 8.3 million hectares in 2018 to 6.4 million hectares in 2024. Fodder crops are among those affected this year by drought, with their inflation having exceeded 8.5% in June and July.

Food price inflation hurts the poor disproportionately. Failing to control prices is also a concern for the economy. At a time when El Niño is already posing risks to food security and farm incomes, faulty market intelligence systems and *ad hoc* policy decisions help neither Indian farmers nor consumers.

QUICK READ

Sugarcane as an input for ethanol has been on the decline. Blame for sugar's price upshoot must be borne by an overestimation of the season's cane output combined with ad hoc policies.

The government's untimely tweaks of export and import rules even as El Niño risks loom over farm output not only put food security at risk but are also bad for India's economy at large.

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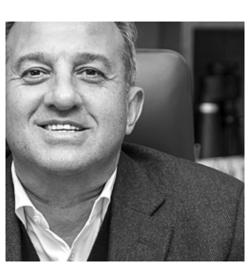
JUST A THOUGHT

> If a theory of justice is to guide reasoned choice of policies, strategies or institutions, then the identification of fully just social arrangements is neither necessary nor sufficient.
>
> AMARTYA SEN

GUEST VIEW

Brics partnerships could strengthen the Global South

JAI SHROFF



is chair, Brics Business Council India, and chairman and group CEO, UPL Ltd.

The Brics grouping brings together countries with an extraordinary range of economic strengths. Its members include some of the world's largest and fastest-growing markets, major centres of manufacturing and technology, and producers of food and energy. Some also have significant mineral resources and a growing base of capital, skills and entrepreneurship. With its expanded membership, these strengths have become even more diverse. An opportunity lies in connecting them more closely and building partnerships that contribute to growth and resilience across all economies.

India's Brics chairship in 2026 offers an opportunity to advance this agenda. We must move from broad intent to practical collaboration. This is especially relevant at a time when businesses are adapting to changing supply chains, rapid technological shifts and a more uncertain international environment. Prime Minister Narendra Modi has underlined the importance of Brics as a platform responsive to the aspirations of the Global South. In recent Brics deliberations, he has also highlighted the need for demand-driven development finance, stronger agricultural research cooperation, reliable supply chains for critical minerals and technology, and responsible as well as inclusive use of artificial intelligence (AI). These priorities provide an important context for the business community as well.

There is considerable scope to bring these capabilities together in ways that create new commercial openings while strengthening our collective resilience. Consider something as fundamental as food, fuel and fertilizers. Brics includes major producers and consumers of all three. Add to this our strengths in critical minerals, manufacturing, technology and services, and the complementarities become even more apparent. Greater trade, investment and business partnerships within the grouping can help make supply chains more diverse and dependable, while also contributing to the economic resilience of the wider Global South.

Agriculture is an area where cooperation among the member countries can make a meaningful difference. The Brics countries collectively account for a significant part of global agricultural production and consumption. At the same time, farmers across Brics economies face similar questions: how do we produce more with finite natural resources, improve soil health and water efficiency, respond to a changing climate and reduce losses? Policymakers have another question: how to make new technologies affordable for farmers? These shared challenges also create opportunities to learn from one another.

One idea that holds considerable promise is the creation of centres of excellence that draw upon the particular strengths and experience available across members. These could facilitate research, training and exchange of best practices in areas such as water and soil management, fertilizer-use efficiency, biosecurity and climate-smart agriculture. There is considerable value in such cooperation. Connecting researchers, businesses, institutions and farmers can help accelerate this exchange. This is also true for agricultural technology. Across Brics, young companies are helping farms adapt to the changing needs of farming. A stronger network connecting agri-tech communities could take promising technologies further and scale faster.

The aim should be to see an agri-tech solution developed for farmers in India find application in other Brics markets, just as innovations emerging elsewhere find their way into Indian agriculture. This is the practical promise of South-South cooperation: sharing experiences, adapting solutions to local conditions and building capabilities. Agriculture is just one example. Opportunities exist across manufacturing, infrastructure, energy, finance and skill development.

For businesses, useful advances can come from making it progressively easier to operate across markets. Cooperation on standards and certification, digital trade documentation, logistics and access to market information can facilitate trade. The objective need not be identical systems across Brics. Greater interoperability in areas where there is a clear business case can make a substantial difference by itself.

Investment is equally important. Brics economies have enormous requirements of it for infrastructure, manufacturing, energy transitions and new technologies, and also possess substantial pools of capital. The New Development Bank, national development finance institutions and private financial institutions can together help connect viable projects with long-term finance. Innovative approaches to risk sharing and blended finance can widen the range of projects that are able to attract investment.

Technology will increasingly connect all these areas. AI and digital technologies are already changing agriculture, manufacturing, logistics, financial services and healthcare. Brics can encourage greater collaboration among its businesses, startups and research institutions, while contributing to the development of technologies that are accessible and relevant to the needs of emerging economies. The grouping has remarkable resources and capabilities. By connecting these strengths more closely, it can create greater opportunities for all and contribute to a more resilient, inclusive and prosperous Global South.

QUICK READ

The expanded Brics grouping brings together a vast pool of economic strengths that can be used to mutually build resilience amid supply-chain disruptions and an uncertain environment.

India could use its chairship of Brics this year to facilitate partnerships among member countries in major fields such as agriculture and manufacturing to strengthen the Global South.

MY VIEW | THE LAST WORD

India's Viksit Bharat goal: urban deficiencies call for action plans

Unless public goods like unblocked sewerage and rainwater drainage are provided, urban India will lack 'viksit' attributes

INDIRA RAJARAMAN
is an economist.

HT

It is perfectly appropriate to dream, and to dream big. Viksit Bharat by 2047 is now a stated goal towards which all economic policy is directed. What was previously the Mahatma Gandhi National Rural Employment Guarantee, and before that simply NREGA ('A' for the Act of 2005), has been re-enacted as the Viksit Bharat Guarantee for Rozgar and Ajeevika Mission (Gramin) Act of 2025.

What does the term '*viksit*' actually mean to people? By now, it would be hard to find any member of the Indian establishment—across government, the judiciary, corporate sector, armed forces and the media—who does not have at least one close family member resident in a developed (*viksit*) country. A 2025 book by Sanjaya Baru, *Secession of the Successful: the Flight out of New India*, delineates how Indians have voted with their feet, or more accurately, their air tickets. They want to live in a *viksit* country. Can we get there by 2047?

Let me pick up just two issues. One is specific to the current season of the year. The other is an all-season issue (one of many). I will confine my attention to urban India where the establishment lives.

The monsoon season, which is currently on, has traditionally been a season of rural floods, landslides, and now, catastrophic glacial melts. But urban flooding can be traced to specific cases of intervention and/or neglect. As urban water bodies, which acted as sinks into which rainwater flowed, were drained for urban construction, and as rainwater drains get choked with silt, construction residue, plastic, discarded packaging material and organic garbage, urban flooding has become a robust annual feature.

A spell of 100mm of rain, as on 24 August in Delhi, is by no means unknown in Delhi, Mumbai or other cities. But predictably, key arteries in Delhi around Parliament and the Supreme Court were severely grid-locked and knee-deep water collected in some key wholesale market areas. School buses were stranded for several hours. There are electrocution deaths from live electric wires trailing in pooled water.

The following day, the Delhi government announced an additional ₹11,430 crore for drinking water infrastructure on top of earlier smaller commitments, added to ongoing funding for sewage treatment plants. The Delhi Jal Board, a state government entity, will get this funding and execute the work on water and sewage treatment plants and pipelines. It is important to note that the new provision will not address rainwater drains, which fall under the municipality and the state public works department.

Nevertheless, the new initiatives are most welcome and will hopefully prevent sewage overflow and drinking water contamination during the monsoons. Half the funding will come from the state government matched by the Central Urban Challenge Fund, and half from private partners. The funding is for infrastructure, not for maintenance of pre-existing sewerage channels in a preventive rather than crisis-driven way. Hopefully, some of it can be used to get mechanical sewage cleaning equipment, to replace the inhuman practice of manual sewer cleaning that still goes on despite Supreme Court judgements and directives against it.

The rainwater problem has not received the attention it desperately needs in all major cities of India. Corroded drain pipes need replacement, sieves are needed to redirect material blocking rainwater flow, with arrangements for that material to be carted away to processing centres, rather than heaped up within the city. Unfortunately, commercial waste-to-energy generation has taken off only in a few smaller cities like Indore and Lucknow.

Moving to all-season urban issues, urban spaces are increasingly claimed by four mammalian species. Dogs in small groups or large packs were perhaps the first to reduce humans in many cities, Delhi among them, to a state of cowering fear. Children and adults were bitten. Municipalities directed by the Supreme Court to handle the problem lack the fiscal wherewithal to do so. Municipality annual revenue, still aggregating nationally (including grants) to less than 1% of GDP, will need more fiscal assistance from state governments to tackle the problem.

Rodents abound in informal housing enclaves (*jhuggies*) where food has to be weighed down in heavy containers that can't be knocked over, and clothing tightly locked. Rodents thrive in situations where there is a high density of organic garbage. These include upmarket food courts. There is no pied piper.

Monkeys have moved from towns like Shimla towards cities like Delhi, where monkey assaults and bites, apart from damage to water storage tanks, are now everyday occurrences. There is need for a national population-control strategy to solve this problem.

And finally there are unsheltered cows blocking traffic while they search for food in garbage heaps. Formal fiscal provisions for cow shelters are in state government budgets, under the major heads 2403/4403 (current/capital), but the minor sub-heads for cow shelters vary across states, so the aggregate allocation across states cannot be (easily) obtained.

A pre-existing Central provision through which urban infrastructure can be funded is the popular Special Assistance for Loans to States for Capital Investment, budgeted at ₹2 trillion (including Union territories) for 2026-27. There are many claimants jostling in the fiscal trough.

QUICK READ

It's hard to find any member of the Indian establishment who does not have at least one close family member resident in a developed country. They voted with their feet and air tickets.

Can India achieve developed status by 2047? Urban spaces need urgent attention, and while some outlays have been upped for public works, we have much jostling at the fiscal trough.

MINT CURATOR

America's cluster cities retain their charm in this day and age

Tech has made geography history but not the value of talent pools

ALLISON SCHRAGER
is a Bloomberg Opinion columnist covering economics.

De-clustering could potentially slow the pace of innovation. BLOOMBERG

Even more so than usual, Hollywood's future is uncertain. For decades the Los Angeles economy revolved around the film industry, but now more movies and shows are filmed elsewhere, driven or lured away by high expenses or tax incentives. The prospect of Paramount leaving California over the state's antitrust lawsuit may not be serious, but the very idea that it can be entertained shows how much the economics of the industry have changed.

Los Angeles is not the only US city being forced to consider a future without the industry that has defined its identity. Over the last half century, if you worked in tech, the Bay Area was the place to be, with access to top talent and financing. If you wanted to become a finance master-of-the-universe, you needed to at least start your career in New York. Now all of this is changing—with implications not only for these cities but also for the US economy.

Success didn't necessarily require living in one of these cities—but it made success more likely, so the best talent clustered in them. These clusters created an ecosystem that generated well-paid jobs and job growth. There was spillover into other industries and more innovation.

Clusters also made US films, tech and finance the best in the world. When an industry is mostly located in one place, people can more easily build networks, compare notes and develop skills. They can job hop and share know-how. Talent from all over the world comes to that one place, creating positive externalities.

A big part of the US technology industry's success—and America's lead in innovation—is due to the fact that it is located in Silicon Valley. That conferred benefits on the larger economy, because it has fostered innovation in all industries, not to mention greater tax revenue and a booming stock market. Other cities tried to start their own tech clusters, but none could match Silicon Valley; once a cluster gets that critical mass of top talent, it is very difficult to displace.

The pandemic challenged that stickiness. *First*, it became more acceptable to work from home, and once Zoom meetings became normalized, people could work from anywhere. *Second*, for a while cities were unpleasant places to live, with a spike in crime and a decline in quality of life. Since the pandemic, affordability has become a bigger issue, with rising inflation and home prices. Then, among the very wealthy, there were a few notable moves to Florida and Texas.

But cluster cities have endured.

Citadel is still making a major investment in New York because the benefits of being in the world's financial capital still outweigh the costs. The Bay Area, meanwhile, remains the place where the big AI firms are headquartered and deals are done. Relocating a major studio from Los Angeles might be possible, but it would not be easy because so much of the film industry is still there.

On an individual level, if you are established in your career, maybe you can move out of a cluster. But if you are just beginning or want to start a new business, living in a cluster is still important.

Politicians in cluster cities seem to be counting on their continued stickiness. California may pass a wealth tax that will hit tech founders especially hard. LA remains an expensive place to do business. The mayor of New York has not exactly fostered a business-friendly environment (and seems to realize it). Underperforming schools and quality of life around homelessness and petty crime remain unaddressed in cluster cities. Local politicians talk a lot about affordability, but their actual policies will not solve the problems making things more expensive.

A central lesson from economics is that behaviour on the margins is often revealing about what is happening in an economy. There is still value to living in a cluster city—but if the costs rise and the benefits diminish, that calculation changes.

For some people, it already has. Smaller clusters in other cities are becoming more viable, especially for anyone somewhat established who is raising a family. You can work in film in Atlanta or finance in Texas because there is a critical mass of talent there too.

Cluster cities will not necessarily become 'the next Detroit,' because their industries will still generate jobs and money. They may even still dominate—just not as much as they used to. That will mean less tax revenue, worse public services, and more economic populism.

De-clustering would also slow the rate of innovation, making the entire US economy less competitive.

There is a magic that comes from having a lot of talented people in one place, and that magic remains critical to the modern American economy.

MY VIEW | PEN DRIVE

The calm we chase: what if it keeps receding further?

V. ANANTHA NAGESWARAN

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Anyone who has lain awake at night knows that sleep cannot be chased. The harder we reach for it, the further it seems. We can prepare the ground—dim the room, still the body, set the day's worries down—but the last step is not ours to take. Sleep comes only once we stop trying to seize it. Reaching for it is what keeps it away.

Much of what we most want behaves this way, calm of mind most of all. We go after it as though it were a place to be reached by effort, and find that the effort is the very thing that disturbs it. I have wondered for a long time why this should be the case, and about the confusion that lies beneath it.

We tend to think that calm and ambition pull in opposite directions—that the contemplative life sits on one side and the competitive life on the other, and that to find peace, a person must step back from the contest. There is something to this. A striving mind is rarely a quiet one.

But step back, and something curious happens. The habit of comparing oneself with others, of measuring where one stands, of keeping a quiet account of it—that habit does not stay behind. It follows. It is subtle enough to slip into the very retreats and disciplines we take up to be free of it. A person gives up the race and then takes quiet pride in having done so. He resolves to want less, and begins, without noticing, to keep score of his own detachment. The practices we adopt to quiet the self can become one more place for the self to keep its tally.

Stepping back, it turns out, is no guarantee of breaking free. One can carry the whole machinery into the forest.

This is worth pausing on, because it changes the question. If withdrawal is no escape, then the question was never really whether one acts in the world or renounces it. A person may hold a demanding office and be wholly at peace within it. Another may give up everything and stay restless to the end. The outward arrangement settles nothing. What matters is the inner posture from which one acts—and that cannot be seen from outside.

The Bhagavad Gita, spoken not in a hermitage but on a battlefield, makes just this its teaching. It does not tell Arjuna to lay down his arms and walk away. It tells him to act—to do the work that is his to do—while loosening his grip on what the work will bring him. Not to stop acting, but to stop clinging to the fruit of it. So the same act, done by two people, or by the same person on two different days, can be two quite different things. One does the work to be seen doing it, be counted and add to a private store of recognition. The other does the same work because it is there to be done, and lets it go. From the outside, the two look identical. No one watching can tell them apart. The difference shows itself in only one place— within the person who is acting.

And so the question turns inward, where it belongs. There are two postures, and we can set them side by side. In one, a person acts and keeps score of position, of recognition, of how he stands beside others, of whether his moment will come. In the other, a person acts and releases the outcome—aspiring still, serving still, doing what is his to do, and leaving what follows to whatever decides such things. The two can look the same from the street. They do not feel the same from within.

But here is the part we most often get wrong. We treat the disquiet as a problem to be solved—as though, if only we understood clearly enough that the effort is ours and the outcome is not, the unease would dissolve. It does not. A person can know this completely, could have watched a whole life bear it out, and still feel the old tightening when another one races ahead of him, still feel the unspoken question of whether his own turn will come. Knowing better does not make it go away.

This is not a failure of understanding. The unease comes from a part of us far older than our reasoning. Long before we learnt to weigh evidence and draw conclusions, something in us was already watching the field—for a rival, a lost place, or who got there first. The mind that has made its peace and the part that compares and competes run on separate tracks, and the first was never going to silence the second.

Seeing this changes the question. The aim was never to be rid of the disquiet. That was always the wrong aim, and chasing it is the equivalent of reaching for sleep that drives sleep away. The aim is only to notice it when it comes, let it rise and settle, and not to be carried away by it. Someone who felt none of it at all would more likely have gone numb than gone free. That it still rises, and that one can watch it rise rather than be swept along—that small gap between the stirring and being moved is almost the whole of what there is to gain. It was never going to arrive as an absence of the disquiet itself.

So perhaps that is where each of us is left. Not with an answer to be reached once and kept, nor with a disquiet to be conquered, but with the two states of mind—competition and calmness—recognized in ourselves and being at peace with that. Not which life looks calmer from the outside, but whether one is aware of the disquiet, accepts it, and then chooses to move past and beyond it.

QUICK READ

A person may hold a demanding office and be at peace with it. Another may give up everything and stay restless. What matters is not the outward arrangement but one's inner posture.

The conquest of disquiet can be a futile aim. The relevant question is whether one is aware of the disquiet, accepts it, and then chooses to move past and beyond it.

An SUV where the back seat is the hero

BMW has stretched its entry-level SUV and brought limousine-like comfort to the rear seat of its new X1 Long-Wheelbase

Rishad Saam Mehta
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When I received the BMW X1 Long-Wheelbase for review I did something I don't normally do first because my curiosity got the better of me. I pushed the driver's seat well back to suit my own six-foot driving position, walked around and folded myself into the back seat behind it, and asked Anthony—who had come to deliver the car—to take me for a short drive.

During the virtual media briefing BMW had emphasized the extra room in this stretched version of its smallest SUV, and I wanted to see if this was true.

I had fully expected my knees to start arguing with the back of the seat within seconds. They never did. In fact, there was no man's air—that crucial buffer zone—between my knees and the scooped-out seatback. I sat there for longer than was necessary, partly out of surprise and partly because the seat itself, with its longer base and a couple of degrees of recline, is genuinely built for settling into with a sigh. It has that certain quality of your favourite armchair at the end of a long day—the one you sink into and simply let go, the day dissolving around you.

That back seat is really the whole point of the X1 LWB, and everything else in the car has been quietly arranged around it. BMW has stretched the standard X1 by 116mm, with 108mm of that going straight into the wheelbase, and every millimetre has been spent on the same thing: making the back of the car feel like somewhere you'd choose to be.

The seat sits 27mm higher, the headrests are 37mm wider, and above it all is a big panoramic glass roof—nine square feet of it, fixed rather than opening—that floods the cabin with light and makes the interior feel larger. The boot has grown too, to a genuinely useful 540 litres, so the weekend duffels aren't fighting the golf clubs for space.

There are touches that I really liked: the wireless charging pad up front holds the phone upright with a gentle clip, so it charges in place instead of sliding about every time you brake, the upholstery and finish feel premium, and the sound system is sweet. It's a properly equipped car too, eight airbags as standard, a 360-degree camera, and a full suite of driver assistance systems, so the fuss BMW has made over comfort hasn't come at the cost of the basics.

All of it adds up to a car that feels built for a particular kind of Indian life, one where the back seat matters as much as the front. BMW already has a long-wheelbase 3 Series, a long-wheelbase 5 Series, and an electric iX1 LWB doing brisk business in India, and this year, more than half of BMW's passenger vehicle sales have been long-wheelbase models. That statistic speaks about how this segment of buyer thinks.

A great many of them are driven through the working week by a chauffeur, navigating the special misery of the Indian city traffic, and then take the wheel themselves at the weekend for a drive out of town or an unhurried errand run. It's a dual life that most car buyers elsewhere don't really have to live, and it means one car is being asked to be two things—a proper limousine on a Tuesday morning, and a proper BMW on a Saturday. The X1 LWB is BMW's answer to that specific Indian puzzle, pitched a rung below where this idea has previously lived, so that the limousine feeling doesn't need a limousine budget to go with it.

BMW has even built the small logistics of that arrangement into the car itself, in the form of a digital key that lives on a phone or a smart watch in addition to the fob. It can be shared with up to four people, so the chauffeur can carry it through the week and hand nothing back on Saturday morning when the owner decides to drive themselves. It sounds like a minor convenience until you actually think about how many households this describes.

> While the car offers plenty of features, it skimps on some small but important details, like adaptive cruise control

Where this new X1 asks you to compromise is up front, behind the wheel. The engine is a 1.5-litre, three-cylinder turbo-petrol making 156hp and 230Nm, sent to the front wheels only through a 7-speed dual-clutch gearbox.

Pull away gently and you'd never guess it only has three cylinders. Ask more of it, though—say, a cheeky overtake—and there's a beat of hesitation before the power arrives, followed by a thrum that isn't quite the sound you expect from this badge.

BMW's own figures have it doing 0-100kmph in 9.58 seconds, which is a number that will not trouble anyone's pulse. I found myself, more than once, backing off and letting the car settle into its natural, unbothered pace rather than trying to hurry it along, which, in hindsight, is probably exactly how BMW expects most owners to drive it, or more likely, be driven in it.

There are a few omissions that made me frown a bit. The rear seat, for all its comfort, doesn't get its own independently controlled rear climate zone, so whoever's back there is at the mercy of whatever temperature the front occupants have chosen—an odd thing to skimp on in a car built almost entirely around the rear-seat experience.

Up front, there's no seat ventilation or massage function, both of which I'd expect at this price. While you do get a bunch of ADAS functions like pedestrian warning, auto emergency braking and lane departure warning and assist, adaptive cruise control is not present. The climate controls have also been folded into the touchscreen, so changing the AC temperature on the move means hunting through a menu rather than reaching for a dial or a button—a small irritation, but one most will run into often. The same is the case with the function to memorize the driver's seat position. There are no dedicated buttons for the same on the door. However, this can tie to your BMW ID or digital key profile.

None of these individually are dealbreakers, but stacked together, they're the sort of small print worth knowing before you arrive at your BMW dealer with a coconut and a garland.

The X1 LWB was launched on 21 August at an introductory ex-showroom price of ₹49.9 lakh, undercutting most pre-launch estimates and putting real weight behind BMW's pitch of limousine comfort without a limousine price tag. The Audi Q3 and Mercedes-Benz GLA don't offer anything close in terms of rear-seat space, so BMW gets to have this particular conversation with buyers entirely on its own terms.

I drove the X1 LWB, and I enjoyed driving it well enough. But if I'm honest, the 15 minutes I spent in the back left the bigger impression, and going by BMW's own sales figures, I suspect I'm in good company.

This isn't a car built to thrill you from behind the wheel—it's built to spoil you from behind someone else's shoulder, and that is a job that it does rather well.

By Khalid Amin Khatri.

For the weekend

Seeing Mumbai through Ajrakh

A *Mint* round-up of what's happening in and around your city

MUMBAI

LOOKING BACK. LOOKING FORWARD.

Till 13 September

Master craftsman-turned-artist Khalid Amin Khatri reimagines the Ajrakh block-print tradition on canvas, creating Mumbai-inspired artworks that combine natural-dye painting, brushwork, overprinting and erasure. The exhibition is curated by Satish Reddy.

11am-7pm. 47-A, Khotachi Wadi, Girgaum.

DELHI

ANALOG SESSIONS

6 September

In a solo piano concert, Pratham will bring together iconic compositions by Chopin, Beethoven, Mozart and Schumann, alongside contemporary and film scores.

4pm. The Piano Man Jazz Club, Safdarjung. For details, visit www.thepianoman.in

KANI: GARDEN AS FIRST SIGHT

6-10 September

Presented by Gallerie Splash, this is an exhibition of recent paintings and 3D wooden works by Kerala-based artist Roy K John. The show, curated by Satyajit Dave, explores the garden as a space of memory and transformation.

11am-7pm. Main Art Gallery, Bikaner House, Pandara Road, India Gate Circle.

By Roy K John.

BENGALURU

A THOUSAND SPLENDID SUNS

8 September

Directed by Tahera, this 150-minute English play, adapted from Khaled Hosseini's *A Thousand Splendid Suns* by Ursula Rani Sarma, follows two Afghan women brought together by war and loss in Kabul.

7.30pm. Ranga Shankara, 36/2, J P Nagar. For details, visit in.bookmyshow.com

A centuries-old accessory is a must-have in hot Spain

As heat waves sweep Europe, the traditional folding fan is becoming an essential and a cool cultural symbol

AP

In crowded subway cars and sun-drenched plazas, an old-fashioned Spanish accessory has been everywhere this summer, thanks to the blistering heat.

Small enough to fit into a purse, the traditional Spanish folding hand fan, or *abanico*, snaps open into a semicircle. With little more than a flick of the wrist, it creates a surprisingly strong breeze.

As successive heat waves in Europe pushed temperatures this summer to punishing levels, the accessory has become essential, embraced by the young and old from Spain and elsewhere. Women—and a growing number of men—unfurl them on public transport, at concerts and at music festivals. In July, rainbow-coloured *abanicos* were everywhere during Madrid's raucous Pride celebrations.

On a recent August day, 20-year-old Ana Feliu blocked the sun with a paper *abanico* she was gifted during a Valencian festival. She carries it everywhere in the summer, she said.

"This one is my favourite because it's the biggest, but I have many more," she told The Associated Press near Madrid's Puerta del Sol square.

Later in the week, temperatures in the Spanish capital were expected to reach 39 degrees Celsius.

Also fanning himself was David González, whose *abanico* featured pinks, purples and reds.

"At first, I felt a little self-conscious, because it's something that's mainly associated with women, but I have to admit it serves a purpose—and it brightens my day," said González, 53.

Historians believe the folding fan reached Europe through Portuguese maritime trade with Asia in the 15th and 16th centuries.

As early as the mid-17th century, the Spanish painter Diego Velázquez made his enigmatic "*The Lady With A Fan*," in which a woman, possibly French, poses with what appears to be a delicate wooden *abanico*.

As they grew fashionable in European courts, Spain developed a taste and industry of its own. Madrid became an important centre of production, and by the 18th century, Valencia had emerged as the Spanish fan-making capital.

GETTY IMAGES

The fan has been embraced by the young and old from Spain and elsewhere.

"During the 18th century, the printing industry really took off. And printing meant that the leaves of fans could be produced quite cheaply," said Mary Kitson, curatorial consultant to The Fan Museum in London.

So embedded was the *abanico* in Spanish aristocratic society by the 1800s that women used them to discreetly express flirtation, interest or disapproval through what was called "the language of the fan."

From Spain, the hand fan travelled to Latin America. In the 19th century, flamenco dancers began using the *abanico* as an expressive prop, as Cuban song and dance styles such as the guajira influenced the dance form.

Over time, the fan's association with flamenco helped turn it into a quintessential Spanish symbol.

"The fan is a perfect element because, on the one hand, it evokes the heat and humidity of Cuba—that heavy, oppressive feeling," said Carmen Torres, a 44-year-old flamenco dancer in southern Spain. "And at the same time, it gives us a way to bring out the seductive, coquettish quality."

For more than a century and a half, Javier Llerandi's family has sold *abanicos* out of Casa de Diego, a wood-panelled shop in Madrid.

"We live from the heat," Llerandi told the AP.

The fans at Casa de Diego are made in Spain and range from simple two-tone wooden ones to elaborate, hand-painted items crafted from mother-of-pearl with intricate floral patterns.

They start at around 30 euros ($35), while others range from 200 to 500 euros (up to $580), with some high-end pieces reaching 6,000 euros (nearly $7,000). The price depends on the materials used, but even more so on the craftsmanship involved, he said.

As Madrid has grown into a tourist hot spot, foreign visitors are also snatching up his fans, which Llerandi notes are more reliable than their portable, electric counterparts.

"Battery-run items eventually run out of power, and always at the worst possible moment," Llerandi said, adding with a smile: "Without a doubt, heat waves are good for this business."

And for the less discerning customer, plastic fans with printed designs are sold for a few euros at souvenir kiosks, including one a couple hundred metres from Llerandi's store. There, too, a salesperson reported strong sales this summer.

Outside a towering bullfighting ring in Madrid, Juani Duran sells wooden hand fans with traditional floral designs for five euros apiece at a stall.

Bullfights take place in open-air stadiums, and spectators traditionally dress up to attend them, making the elegant fans a fitting accessory.

"You'll usually find a hand fan in any woman's pocket—and in some men's, too," Duran said before a late-August bullfight.

"They're not the best quality," she said, pointing at her stock, "but they'll get you through the summer."

Write to us at feedback@livemint.com